CHIEF INVESTMENT OFFICE

Capital Market Outlook

March 16, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Portfolio Construction in the Age of Industrial Geopolitics:* Current geopolitical tensions add support to our high-conviction theme of aerospace and defense. But it is time to reframe and widen the lens when it comes to investing in defense. Modern defense is no longer just missiles, tanks and large defense contractors. Rather, it is an entire industrial ecosystem—ranging from rare earth minerals to semiconductor fabs to satellites and undersea cables to Artificial Intelligence (AI) and digital infrastructure. Industrial geopolitics is about governments taking ownership in strategic mining and materials firms; export restrictions on advanced chip technologies and public sector incentives to increase domestic chip production; the militarization of space, with control of orbital infrastructure, an emerging component of geopolitical power; and protecting and monitoring undersea fiber optic cables given their fragile but crucial role in transmitting vital information. Industrial geopolitics also requires understanding the industrial battlefield and a rethink around risk, opportunity and portfolio construction. Think greater demand for digital infrastructure, logistics, AI, robotics, industrials and commodities. All of this speaks to the overlap between national security and industrial capacity. What is being forged is a new era of industrial geopolitics. Buckle up.

Market View—*The Stagflation Scenario:* The recent geopolitical flare-up has raised concerns about stagflation—a challenging situation that entails rising inflation and stagnant economic growth. Stagflation is not our base case, but the potential scenario bears monitoring as dynamics evolve. While the 1970s and early 1980s serve as a cautionary tale of stagflation's potential impact on markets and the economy, investors should keep in mind that the U.S. economy is far more resilient today. Structural improvements, strong fundamentals and a shift toward energy independence should help buffer against energy shocks. While a prolonged conflict could still elevate upside risks to inflation and downside risks to growth, the U.S. is entering this period of geopolitical uncertainty from a position of relative strength. From a portfolio positioning perspective, we believe investors should maintain well-diversified portfolios to weather uncertainty.

Thought of the Week—*One Key Lesson of the War: The World Still Runs on Fossil Fuels*: Much of the world's energy investment has been dominated by renewables in recent years, but if we've learned anything in the past few weeks it's this: The world still runs on fossil fuels. From shampoo and smartphones to tires and toothpaste—oil and its derivative chemicals ("petrochemicals") are the building blocks behind basically every material and product out there. Same with natural gas and agricultural fertilizer (and, thus, global food supplies). Perhaps less appreciated too is the relationship between fossil fuels and energy-intensive supply chains of a wide range of technological inputs and infrastructure (semiconductors, electric vehicles (EV) batteries, data centers, etc.). Markets in Europe and Asia tend to be more vulnerable, but the inconvenient truth is that oil and gas, and its many derivatives, fuel global growth. Growth estimates for this year have yet to be marked down, but the longer the conflict lasts, the greater the risk to global growth and earnings estimates.

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Portfolio Considerations

We see equity market pullbacks driven by headline noise as potential opportunities, supported by improving growth, clearer interest-rate visibility, favorable dollar dynamics, strong earnings prospects, and limited impact from geopolitical risks. Diversification beyond U.S. mega-caps is increasingly important as market leadership broadens, with added exposure to Small-caps, EMs, and selective sector shifts, including our recent move to neutral on Materials and a slight underweight to Communication Services.

We remain constructive on Fixed Income but underweight it to fund Equities, expecting tariffs to have a marginal economic impact and yields to stay range-bound amid sticky inflation and gross domestic product (GDP) near or above 2%.

MACRO STRATEGY

Portfolio Construction in the Age of Industrial Geopolitics

Joseph P. Quinlan, Managing Director and Head of CIO Market Strategy

Current geopolitical tensions only add support to our high-conviction theme of aerospace and defense. In a world where might makes right, we continue to prefer Large-cap global defense leaders.

But that said, it is time to reframe and widen the lens when it comes to investing in defense. Modern defense is no longer about just missiles, tanks and large defense contractors. Rather, it's about an entire industrial ecosystem—ranging from rare earth minerals to semiconductor fabs to satellites and undersea cables to AI and the digital infrastructure.

Consider a single modern fighter aircraft. It contains thousands of semiconductors, advanced composite materials, rare-earth magnets, high-performance alloys, precision sensors and complex software systems, including AI. Each of those components depends on supply chains stretching across mining operations, chemical processing facilities, semiconductor fabs and data-analytics companies. In other words, modern weapons are only the visible tip of a far deeper industrial pyramid supporting defense spending.

Defense as Industrial Policy. We now live in a world where geopolitical strengths are dependent and determined by one's collective industrial capabilities. National security increasingly encompasses the entire industrial network of an economy.

In this network, **mining firms** provide critical minerals and metals like rare earth elements, lithium, cobalt, copper, titanium and nickel that are essential inputs for electronics and advanced military technologies. **Materials companies** produce basic materials like steel, aluminum, carbon composites and specialized alloys for armored vehicles, shipbuilding and missile systems. As the central nervous system of modern defense systems, **semiconductors** power AI, encryption, satellite guidance systems and precision weapons systems. **Satellite and space networks** provide global positions systems (GPS) navigation, secure communications and surveillance capabilities no modern military can live without. And **undersea fiber-optic cables**—that now transmit over 90% of global internet traffic—carry the information that modern warfare depends on.

You get the picture—defense spending now spills into almost every sector of the economy as governments around the world adjust to a number of geopolitical fault lines. These include Russia's invasion of Ukraine, the expanding war in the Middle East, and the great power rivalry between the world's two largest economies: the U.S. and China.

From a policy perspective, industrial geopolitics is about governments taking ownership in strategic mining and materials firms; it's about export restrictions on advanced chip technologies and the public sector incentives to increase domestic chip production; it's about the militarization of space, with the control of the orbital infrastructure a rapidly emerging key component of geopolitical power; and it's about protecting and monitoring undersea fiber-optic cables given their fragile but crucial nature in transmitting the globe's vital information on virtually everything.

In a nutshell, industrial geopolitics is about more government activism in the private sector, requiring investors to be acutely aware of what sectors/companies are tied or not to government incentives and spending when it comes to defense outlays. It also requires an understanding of the industrial battlefield.

Comparing Industrial Ecosystems. In the era of industrial geopolitics, the leaders by sector/function are concentrated among a few nations, with the U.S. and China at the forefront. As Exhibit 1 outlines, China dominates in the processing of critical metals and materials and holds a decisive lead in the global manufacturing of ships, heavy machinery and steel over the U.S., Japan and other industrialized nations.

Portfolio Considerations

We've long emphasized defense as one of our key themes. Beyond Large-cap defense leaders, key beneficiaries include semiconductors, critical minerals, cybersecurity, energy infrastructure, and robotics and automation. We remain overweight Industrials given a multi-year capital expenditures (capex) cycle, aerospace backlogs, higher power demand, and more defense spending in the U.S. and globally.

America's strengths lie with semiconductors—advanced chips and chip designs, in addition to the digital infrastructure that includes cloud computing, data centers and telecommunication networks. The U.S. also leads in the space (satellites and GPS networks) and AI and software. China, however, is making rapid gains in both space technology and AI—and is hyper-focused on building out its military platform.

Other notable mentions when it comes to industrial ecosystems include Taiwan and South Korea, leaders in chip fabrication, and Japan (robotics). A semiconductor company in the Netherlands dominates in lithography equipment.

Investment implications. For investors, the emergence of industrial geopolitics requires a rethink about risk, opportunity and portfolio construction. Some key takeaways include the following:

- Defense spending—whether in the U.S. or overseas—no longer benefits only traditional weapons manufacturers. It also drives demand across various technology capabilities, industrial manufacturing and the digital infrastructure.
- National strategic objectives favor more government support, subsidies and regulatory protection in such sectors as semiconductors, critical minerals, advanced materials and manufacturing, satellites and space, cybersecurity, energy infrastructure, and AI.
- Industries that support supply-chain resilience—logistics, AI, robotics and industrial automation—should be main beneficiaries of industrial geopolitics.
- Industrials, in general, will likely be large beneficiaries on account of longer, multiyear capex cycles.
- Commodities and materials remain attractive and remain in long-term bull cycle.
- In the emerging markets, South Korea, Taiwan and China technology companies remain attractive.

All of the above speaks about the overlap between national security on the one hand and industrial capacity on the other. What is being forged is a new era of industrial geopolitics. Buckle up.

Exhibit 1: The Industrial Battlefield Map.

Layer of Industrial Power	Strategic Assets	Current Global Strength
Critical Minerals & Processing	Rare earths, lithium, cobalt refining, battery minerals	China dominant in processing and refining; U.S. and allies trying to diversify supply through Australia, Canada, Africa
Industrial Manufacturing Base	Steel, shipbuilding, heavy machinery, precision manufacturing	China largest manufacturing base in the world; U.S., Japan, and Germany strong in high-end manufacturing
Semiconductors	Advanced chips, chip design, lithography equipment	U.S. leads in design: Taiwan and South Korea lead in fabrication; Europe dominates lithography equipment
Digital Infrastructure	Cloud computing, data centers, telecom networks	U.S. leads in cloud, software platforms and digital ecosystems
Satellites & Space Launch	Launch vehicles, satellite constellations, GPS networks	U.S. leads in commercial space and satellite networks; China rapidly expanding
AI & Software	AI models, machine learning, cyber capabilities	U.S. currently leads though China investing heavily
Military Platforms	Naval fleets, aircraft, missiles, defense systems	U.S. dominant globally; China rapidly expanding naval and missile capacity

Source: Chief Investment Office. Data as of March 12, 2026.

MARKET VIEW

The Stagflation Scenario

Emily Avioli, Vice President and Investment Strategist

The latest geopolitical flare-up has introduced a new set of potential headwinds for markets. Chief among them is the risk that a sustained rise in energy prices could rekindle inflation while weighing on the economic expansion. Seasoned market observers have been quick to raise the specter of stagflation—the toxic duo of rising prices and stagnant growth. Such an environment presents a policy dilemma: easing monetary policy to support growth risks fueling inflation, while tightening policy to contain prices could further restrain economic activity. A challenging backdrop for investors, indeed.

Stagflation is not our base case. The medium-term growth outlook has not been materially altered by the conflict in the Middle East, consumer fundamentals are broadly healthy, productivity trends remain sound, and U.S. economy today is far more resilient to energy shocks than in past decades. Still, the widely dreaded stagflation scenario warrants a closer look as geopolitical dynamics evolve.

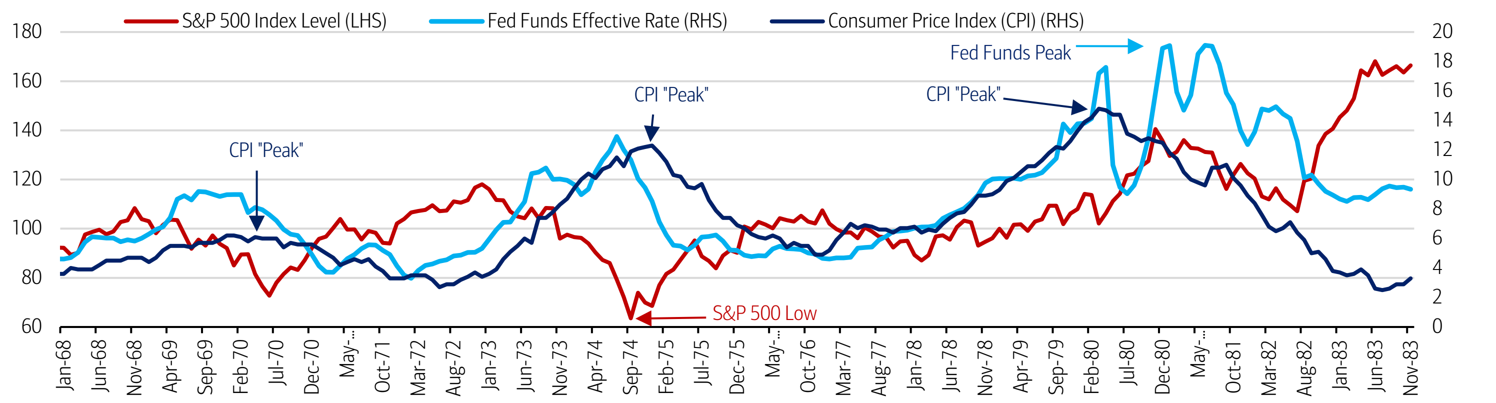
Back to the '70s. The 1970s and early 1980s offer a cautionary tale of stagflation's potential economic and market impact. That period was defined by a damaging mix of persistently high inflation and weak growth, compounded by repeated supply shocks and an initially inadequate policy response. The 1973 Organization of the Petroleum Exporting Countries oil embargo sharply raised energy costs and squeezed household purchasing power, contributing to slowing growth and rising unemployment. The shock was compounded several years later by the 1979 Iranian Revolution, which disrupted global oil supplies and pushed energy prices higher once again. Inflation soared at a time when economic momentum was already fragile. Policymakers struggled to contain rising prices without deepening the economic slowdown, and inflation expectations became entrenched.

Inflation ultimately peaked three separate times over the course of 10+ years before being brought under control in the early 1980s, creating a difficult backdrop for financial markets. Notably, the S&P 500 bottomed out in 1974, almost six years before the final peak in inflation and almost seven years before the peak in rates (Exhibit 2). Small-caps outperformed Large-caps on an annualized basis throughout the 1970s, and Value saw strong returns relative to Growth.[1] Persistent inflation generally eroded real returns on Fixed Income. Real Assets like gold and commodities enjoyed relatively strong performance, with the Bloomberg Commodity Index seeing an annualized gain of 24.0% over the course of the decade.[2]

Investment Implications

The latest geopolitical conflict has introduced a number of potential headwinds for markets and the economy. During times of elevated uncertainty, staying well diversified and committed to a long-term financial plan can be a good course of action.

Exhibit 2: Equity Performance Against the Stagflation Backdrop.



Source: Bloomberg. Analysis data includes through December 31, 1983, as of March 12, 2026. **Past performance is no guarantee of future results**. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

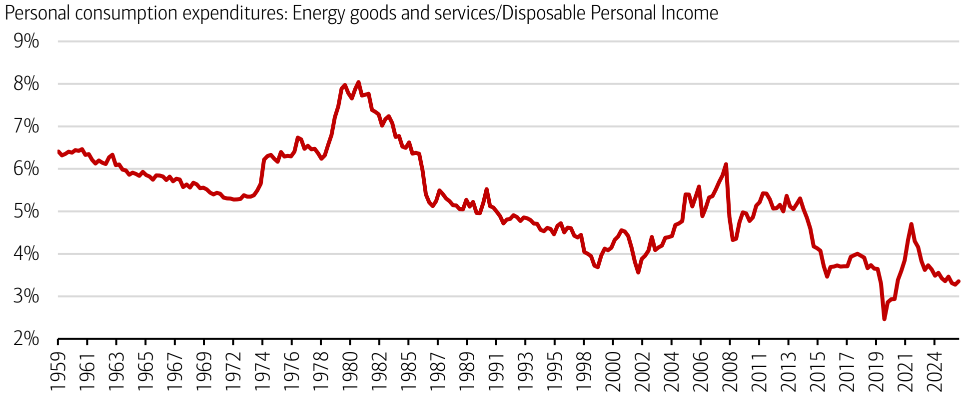
Fast Forward to 2026. Today's economic landscape looks fundamentally different from that of the 1970s. Structurally, the U.S. economy is far less vulnerable to the type of self-reinforcing price pressures that defined that era. A shift toward energy independence is among the most notable improvements. Whereas the U.S. was once heavily reliant on

[1] BofA Global Research. March 3, 2026.

[2] Bloomberg. Annualized data from December 31, 1969 – December 31, 1979 referenced.

imported oil, it is now a net exporter of energy, providing an important buffer against global energy price shocks. Consumers may also be better positioned to withstand rising energy prices today—energy spending currently accounts for 3.0% of personal income, which is less than half of the average level observed in the 1970s (Exhibit 3). Inflation expectations today also remain relatively well anchored, helping to reduce the risk of the wage-price spiral that helped sustain the rapid pace of price increases during the stagflation era.

Exhibit 3: Energy Spending Is A Lower Percentage Of Disposable Income Compared To Decades Past.



Source: U.S. Bureau of Economic Analysis, Federal Reserve Bank of St. Louis. Quarterly data as of December 31, 2025.

Importantly, the geopolitical conflict is unfolding at a time when inflation pressures have already eased considerably from the mid-2022 peak. The CPI advanced by 2.4% year-over-year (YoY) in February, in line with expectations and just above the Federal Reserve's 2.0% inflation target.[3] While a sustained rise in energy prices could slow progress on disinflation—particularly if the conflict proves prolonged—the structural backdrop suggests the U.S. economy is better positioned to absorb such shocks.

On the growth side of the equation, economic fundamentals remain supportive. In February, the labor market exhibited some signs of cooling following several months of stabilization, with nonfarm payrolls posting a weather-related decline, and the unemployment rate edging up to 4.4%.[4] Nonetheless, the labor market remains well above recessionary territory. Consumers remain healthy in aggregate, with Bank of America Institute data showing credit and debit card spending rising by 3.2% YoY in February—the fastest pace in over three years.[5] Recent Institute for Supply Management data suggests that manufacturing is entering a long awaited upswing in the U.S. S&P 500 earnings-per-share are advancing at a double-digit YoY pace and corporate margins remain resilient. Plus, a multi-year technology driven capex cycle is well underway and continued AI adoption and integration is expected to meaningfully boost productivity moving forward.

To be sure, a prolonged conflict that drives oil prices significantly higher for longer could still weigh on economic growth and present upside risks to inflation. However, the U.S. economy is entering this period of geopolitical uncertainty from a position of relative strength. For now, fundamentals remain supportive, and we continue to expect U.S. real GDP growth of approximately 2.8% in 2026.[6]

Conclusion. While the stagflation scenario is not our base case, the risk bears watching considering all the various crosscurrents in the global economic landscape. The upshot: The U.S. economy is structurally stronger and far better insulated from energy shocks than it was in decades past. For investors, the key takeaway is that worries about spillover effects from the latest geopolitical conflict should not derail a long-term financial plan. Maintaining diversification and staying invested during times of volatility remain reliable strategies for navigating periods of uncertainty.

[3] Bureau of Labor Statistics. March 11, 2026.

[4] Bureau of Labor Statistics. March 6, 2026.

[5] Bank of America Institute. March 10, 2026.

[6] BofA Global Research. March 13, 2026.

THOUGHT OF THE WEEK

One Key Lesson of the War: The World Still Runs on Fossil Fuels

Ariana Chiu, Assistant Vice President and Investment Strategist

While much of the world's energy investment has been dominated by renewables (solar, wind, etc.) in recent years, if we've learned anything in the past few weeks it's this: the world still runs on fossil fuels. Per Exhibit 4A, oil, coal, and gas continue to account for 81% of energy consumption globally. That's not too far off from 86% at the start of the century.

Importantly, the world's dependency on fossil fuels goes well beyond crude oil itself. From shampoo and smartphones to tires and toothpaste—oil and its derivative chemicals ("petrochemicals") are the building blocks behind basically every material and product out there. Same with natural gas and agricultural fertilizer (and, thus, global food supplies). Perhaps less appreciated too is the relationship between fossil fuels and high-technology manufacturing: everything from mining and refining strategic minerals to manufacturing plastics and insulation to powering global logistics and construction requires fossil fuels. In other words, not only are oil and gas not a thing of the past, they're also integral to the energy-intensive supply chains of a wide range of technological inputs and infrastructure (semiconductors, EV batteries, data centers, etc.).

Markets in Europe and Asia tend to be more vulnerable than the U.S. given some combination of 1) their dependence on fossil fuels as net energy importers (Exhibit 4B), 2) a bias toward manufacturing/goods rather than services, and 3) concentrated exposure to specific industries (e.g., industrial manufacturing in Germany, semiconductors in Taiwan). Hence the divergence in market performance since the start of the war; whereas the S&P 500 had underperformed most international markets year-to-date through the end of February, the script has flipped since then with the S&P 500 leading Equities in Emerging Markets by 4%, Japan by 7%, and Europe by 5%.[7] By the same token, eventual de-escalation in the Middle East would be good news for these markets, in our view.

There's no doubt that the global economy is trending toward a more renewable energy mix. China has been the primary driver there, adding more solar and wind capacity than the rest of the world combined.[8] Yet even the world's renewable superpower is vulnerable to higher energy prices. The inconvenient truth is that oil and gas, and its many derivatives, fuel global growth. While growth estimates for this year have yet to be marked down, the longer the conflict lasts and the more disruption to supply chains, the greater the risk to global growth and earnings estimates.

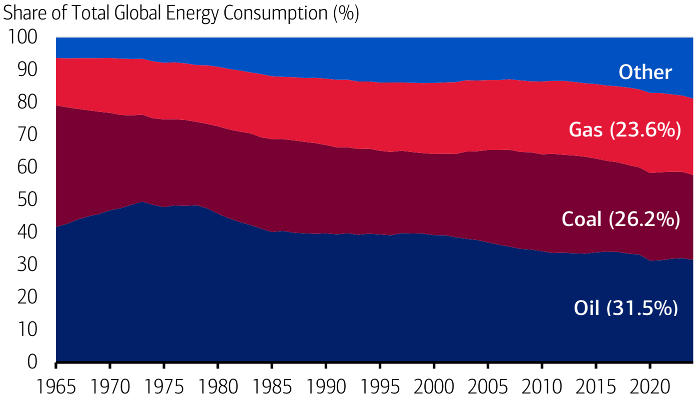
Investment Implications

We believe U.S. and global growth this year can prove resilient but will hinge in part on the length and breadth of the conflict in the Middle East. Volatility is likely to continue in the near-term and with the timing of stabilization still unclear, we emphasize a balanced and diversified approach in portfolios. Longer-term, corporate profits should still be attractive against a backdrop of higher capital investment and productivity.

Exhibit 4: Comparing Energy Dependency in a World Run on Fossil Fuels.

A) Global Economy Still Dependent on Fossil Fuels.

Share of Total Global Energy Consumption (%)



B) Economies in Europe and Asia Are Net Energy Importers.

Net Energy Imports as a Share of Total Energy Use (%)

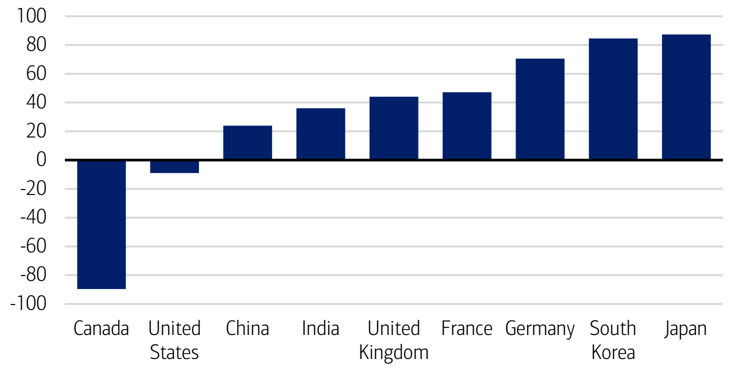


Exhibit 4A) Source: Energy Institute. Data as of March 2026. Exhibit 4B) Negative data indicates net energy exporter status. Source: International Energy Agency, World Bank. Data refers to 2023 or latest available year of data, as of March 2026.

[7] Refers to MSCI Emerging Markets Index, Nikkei 225 Index, and Stoxx 600 Index. In dollar terms. Data as of March 11, 2026.

[8] International Energy Agency as of October 2025.

MARKETS IN REVIEW

Asset Class Weightings (as of 3/4/2026)

Asset Class	CIO View / Underweight		Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View / Underweight		Neutral	Overweight	
Financials					●
Utilities				●	
Consumer Discretionary				●	
Industrials				●	
Information Technology			●		
Healthcare			●		
Materials		▶	●		
Real Estate		●			
Consumer Staples		●			
Communication Services		●	◀		
Energy	●				

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of March 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 3/13/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.5*	-	-	-	-	3.6
Real U.S. GDP (% q/q annualized)	1.4	2.2*	3.3	3.0	2.0	2.0	2.8
CPI inflation (% y/y)	2.7	2.7*	2.7	3.6	3.1	2.9	3.1
Core CPI inflation (% y/y)	2.7	2.9*	2.5	2.8	2.6	2.6	2.6
Unemployment rate (%)	4.5	4.3*	4.4	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of March 13, 2026.
Sources: BofA Global Research; GWIM ISC as of March 13, 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	46,558.47	-1.9	-4.8	-2.8
NASDAQ	22,105.36	-1.2	-2.4	-4.8
S&P 500	6,632.19	-1.6	-3.5	-2.9
S&P 400 Mid Cap	3,340.96	-2.0	-6.5	1.3
Russell 2000	2,480.05	-1.7	-5.7	0.1
MSCI World	4,329.54	-1.7	-4.9	-2.1
MSCI EAFE	2,901.06	-2.0	-8.6	0.6
MSCI Emerging Markets	1,469.47	-2.0	-8.7	4.8

Commodities & Currencies

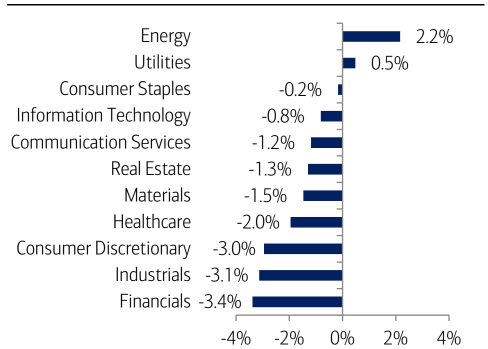
	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	342.30	2.7	11.1	23.9
WTI Crude $/Barrel††	98.71	8.6	47.3	71.9
Gold Spot $/Ounce††	5019.49	-2.9	-4.9	16.2

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.14	1.16	1.18	1.17
USD/JPY	159.73	157.78	156.05	156.71
USD/CNH	6.91	6.90	6.86	6.98

Fixed Income†

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.45	-0.99	-1.93	-0.32
Agencies	4.13	-0.43	-0.95	0.26
Municipals	3.56	-0.68	-1.44	0.73
U.S. Investment-Grade Credit	4.53	-0.92	-1.88	-0.16
International	5.14	-1.44	-2.37	-0.94
High Yield	7.26	-0.77	-1.20	-0.51
90 Day Yield	3.68	3.66	3.66	3.63
2 Year Yield	3.72	3.56	3.37	3.47
10 Year Yield	4.28	4.14	3.94	4.17
30 Year Yield	4.90	4.76	4.61	4.84

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 3/9/2026 to 3/13/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 3/13/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Bloomberg Commodity Index is a broadly diversified commodity price index distributed by Bloomberg Index Services Limited.

Consumer Price Index is a key economic indicator that measures the average change over time in prices paid by consumers for a representative "basket" of goods and services, such as food, housing, transportation, and medical care.

MSCI Emerging Markets Index is a leading benchmark that tracks the performance of large and mid-cap stocks across 24-27 developing nations.

Nikkei 225 Index is the leading price-weighted stock market index for the Tokyo Stock Exchange (TSE), representing 225 top-rated, blue-chip Japanese companies.

STOXX 600 Index is a broad measure of the European equity market. With a fixed number of 600 components, the index provides extensive and diversified coverage across 17 countries and 11 industries within Europe's developed economies, representing nearly 90% of the underlying investable market.

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All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative Investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private-credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity and your tolerance for risk.

Nonfinancial assets, such as closely-held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

March 9, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Markets Shaken, Not Stirred:* Despite a year marked by tariffs, geopolitical tensions, and less abundant liquidity conditions, the U.S. macro and earnings backdrop have remained positive, with risk assets broadly well supported. Federal Reserve (Fed) rate cuts, resilient household and corporate balance sheets, and strong Artificial Intelligence (AI)-related investment continue to support growth, while a softer dollar and improving global activity help broaden the industrial recovery. At the same time, inflation pressures may ease again, if energy prices remain in check and cooling Institute for Supply Management (ISM) services price indicators/strong productivity growth are any indication. However, with excess bank reserves drained and liquidity less abundant at the margin, markets may experience more volatility and greater performance dispersion despite continued economic expansion, as earnings and liquidity become more important drivers of asset prices.

Market View—*Staying the Course: Taking Stock of the Current Market Environment:* Amid the swirl of market uncertainty, we thought it would be a good time to level set and provide some answers to frequently asked questions in our inbox. First, has recent turmoil changed our constructive outlook for the markets this year? No—the economy remains on firm footing given resilient consumption, strong investment, and stimulative fiscal and monetary policy. We expect broader Equity performance to continue and favor adding exposure to Small-caps and Emerging Markets (EM). Second, how could recent events in the Middle East impact the U.S. economy and markets? The key is the length and breadth of the conflict. The U.S. isn't immune to higher global energy prices but is better positioned than most as a net energy exporter. Third, outside of geopolitics, what are other risks on our radar screen? We expect AI to be disruptive but fade apocalyptic narratives in favor of the belief that the AI revolution will create a more productive, innovation-led U.S. economy. Finally, in a world of heightened uncertainty, what are our high-conviction themes? Given AI innovation and geopolitical pressure points, think biotechnology and life sciences, grid and industrial infrastructure, aerospace and defense, and the ecosystem in and around the military-industrial complex (critical minerals, cybersecurity, semiconductors, etc.).

Thought of the Week—*More Signs of a Manufacturing Upcycle*. The manufacturing economy looks to be breaking out of its slump, with back-to-back expansionary manufacturing activity readings strengthening the case for an early upcycle rather than a one-off bounce. Signs of a more sustained manufacturing cycle are also showing up in Equity leadership, especially with Small-caps outperforming their larger counterpart. Historical patterns during manufacturing upcycles suggest this leadership could persist. Earnings breadth is also improving, following strong Q4 2025 earnings reports and amid expectations for broader earnings growth ahead. Overall, while geopolitical risks and temporary price spikes bear monitoring, they are emerging against a backdrop of improving industrial activity. If that momentum holds, it could further reinforce the recent broadening in equity market leadership into a more durable trend.

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MACRO STRATEGY ▶

MARKET VIEW ▶

THOUGHT OF THE WEEK ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

We see equity market pullbacks driven by headline noise as potential opportunities, supported by improving growth, clearer interest-rate visibility, favorable dollar dynamics, strong earnings prospects, and limited impact from geopolitical risks. Diversification beyond U.S. mega-caps is increasingly important as market leadership broadens, with added exposure to Small-caps, EMs, and selective sector shifts, including our recent move to neutral on Materials and a slight underweight to Communication Services.

We remain constructive on Fixed Income but underweight it to fund Equities, expecting tariffs to have a marginal economic impact and yields to stay range-bound amid sticky inflation and gross domestic product (GDP) near or above 2%.

MACRO STRATEGY

Markets Shaken, Not Stirred

Chief Investment Office, Macro Strategy Team

U.S. equity markets have confronted a barrage of challenges over the past year, from higher tariffs to a military conflict involving Iran and other jolts in between. Yet despite bouts of volatility and risk aversion, benchmarks have broadly remained in an uptrend and near record highs into mid-March, as policy interventions and firm underlying fundamentals helped limit downside risks.

Major market dips typically occur when recession risks rise decisively, which has not been the case given the still-expansionary macro and earnings backdrop. For example, Fed rate cuts alongside elevated government spending have supported demand while workarounds softened the economic impact of tariffs, helping keep labor markets relatively stable. Growth drivers have broadened as booming AI-related capital spending and an inventory cycle support industrial production and corporate earnings. A roughly 10% depreciation in the trade-weighted dollar from its peak a year ago has improved export competitiveness, as reflected in strengthening manufacturing export orders in the February ISM survey.

Expansionary readings for the February ISM manufacturing survey's new orders and production components reinforce our constructive view of the Industrial sector. Given the sector's high multiplier effect on the broader economy, its rebound would provide meaningful support for ongoing expansion. Moreover, the February ISM services survey significantly surprised to the upside, with both activity and new orders strengthening. The manufacturing and non-manufacturing ISM composite index reached its highest level since 2022 and moved above its 25-year average for the first time in four years.

Globally, economic momentum also improved going into the Iran conflict. BofA Global Research's Global Wave indicator turned higher in February, amid firmer global industrial confidence, supportive credit conditions and a strengthening earnings-revisions ratio consistent with a broadening cyclical upturn. With strong earnings and Fed measures to stabilize bank reserves after the late-2025 liquidity squeeze, credit markets have continued to function normally overall. Real interest rates have also eased toward levels broadly consistent with continued growth and earnings expansion, helping equity benchmarks remain resilient despite widening performance dispersion across stocks, industries and sectors.

While incoming data, the policy backdrop and earnings expectations remain constructive, geopolitical and energy supply risks have clouded the outlook. By reducing spending power, higher gasoline prices tend to be growth-negative, while a sustained equity market decline caused by risk aversion could weigh on economic activity through negative wealth effects. For now, however, household and corporate balance sheets remain healthy in aggregate, and productivity gains have offset cost pressures, helping contain inflation (Exhibit 1A) and sustain consumer spending.

While growth and inflation have remained broadly favorable for risk assets, liquidity conditions have become somewhat less supportive as excess bank reserves have been drained by quantitative tightening (QT). Reserves have fallen notably since mid-2025, hovering near their lowest level since the pandemic over the past five months. Although the Fed doesn't have predetermined reserve requirements, post-2008 regulations have raised banks' structural demand for high-quality liquid assets, including reserves.[1] Thus, a shift from "abundant" to merely "ample" reserves since around October (Exhibit 1B) creates an environment of more cautious credit intermediation in the overnight market. This tends to reduce leverage and risk-taking at the margin, which can temper risk asset prices. Less liquidity reduces the market's shock absorption capacity, likely amplifying volatility around geopolitical conflicts and AI concerns. When liquidity becomes less abundant, investors may also be forced to raise cash to reduce risk exposures, potentially amplifying market volatility through technical rather than fundamental forces. Less abundant liquidity can tighten financial conditions, even if policy rates remain relatively low.

Demand for reserves fluctuates, however, so the same level of reserves may feel tight or comfortable at different times. For example, evidence of tightening liquidity conditions

Portfolio Considerations

Current environment consistent with maintaining a balanced exposure to Equities while emphasizing earnings resilience and long-term fundamentals. Cyclical and industrial sectors may continue to benefit from improving manufacturing activity and global growth, while strong cash-flow generators and companies with durable pricing power may provide stability if financial conditions tighten further.

[1] Stricter leverage ratios and capital requirements have also contributed to the surge in non-bank lending, especially by Private Credit funds.

associated with heavy Treasury issuance, the government shutdown and related funding pressures in late 2025 prompted the Fed to end QT and begin reserve management purchases of roughly $40 billion/month in Treasury bills starting in mid-December to maintain an ample-reserves framework and stabilize funding markets.

Despite these purchases, reserves have remained near the lower end of their post-pandemic range—at around $2.9 trillion—as other factors simultaneously drained reserves (including increases in currency in circulation and flows into the Treasury General Account). Still, the Fed has been comfortable with this level of reserves, though not because that number is optimal but because market functioning has remained orderly once the Fed stabilized reserves and the late-2025 surge in liquidity demand subsided. The key test is thus not the absolute level of reserves but whether short-term funding markets function smoothly. Regulatory recalibration expected in April 2026 aims to increase banks' capacity to hold more Treasurys and intermediate funding markets, improving market liquidity at a given level of reserves.

As long as the financial plumbing remains functional and economic fundamentals stay firm, episodes of market volatility are more likely to create risk asset potential buying opportunities. Some indicators suggest tightening liquidity at the margin, though (Exhibit 1B), and the upcoming change in Fed leadership raises questions about the threshold for future Fed intervention as a lender of last resort. Chair-nominee Kevin Warsh has expressed a preference for a smaller central bank footprint, suggesting debate over the appropriate size of the Fed's balance sheet may intensify.

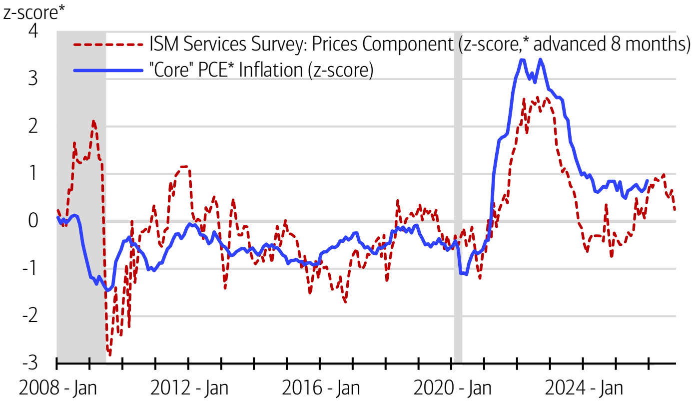
Indeed, a very large Fed balance sheet and abundant liquidity can ease financial conditions more than intended or optimal, potentially complicating inflation control. Therefore, the Fed aims to maintain ample reserves—enough for smooth market functioning and interest rate control—while avoiding an unnecessarily large balance sheet, especially with large fiscal deficits and concerns about Fed independence.

At the same time, balance sheet reduction must account for regulatory constraints and structural demand for reserves. Shrinking it too much, too soon could push the system toward reserve scarcity, unnecessarily tightening financial conditions and risking financial and economic disruptions. Shifting expectations about how well government debt will be absorbed by markets may help explain why long-term Treasury yields have remained relatively firm despite the Iran conflict.

Whether recent financial market jitters—such as somewhat wider credit spreads, firmer overnight lending rates, stagnating equity benchmarks, and higher volatility following the January 30, 2026, nomination of a new Fed Chair—have in part reflected anticipation of a more restrictive policy stance is unclear. Still, with heavy Treasury issuance, evolving central bank policy, and regulatory recalibration, liquidity conditions are likely to remain an important driver of market conditions and asset price returns.

Exhibit 1: Growth And Inflation Data Have Been Favorable For Risk Asset Performance, While Liquidity Conditions Have Tightened At The Margin.

A) Cooling ISM services price inflation suggests easing service sector inflation ahead, a positive for "core" inflation and continued expansion.



B) Higher market volatility and reduced risk-taking at the margin in part likely reflecting less abundant liquidity.

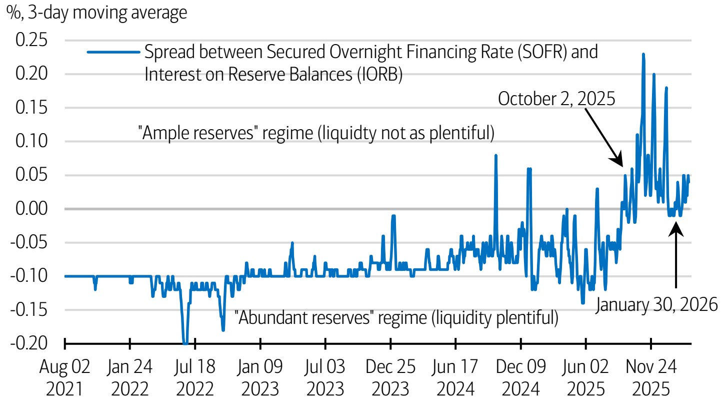


Exhibit 1A) *z-score = number of standard deviations from the average of a data set. **Personal Consumption Expenditures Source: ISM; Bureau of Economic Analysis/Haver Analytics. Data as of March 5, 2026. Exhibit 1B) Source: Federal Reserve Board/Haver Analytics. Data as of March 5, 2026.

MARKET VIEW

Staying the Course: Taking Stock of the Current Market Environment

Joseph P. Quinlan, Managing Director and Head of CIO Market Strategy

Amid the swirl of market uncertainty, we thought it would be a good time to level set or take stock of the unsettled market climate. Below we provide some responses to frequently asked questions in our inbox.

Has recent turmoil changed our constructive outlook for the markets this year? No. Notwithstanding some stiff headwinds to the market and economy—geopolitics, Private Credit stress, tariff uncertainty and concerns over the disruptive effects of AI—the economy remains on firm footing. Our base case is that U.S. consumers keep consuming. Companies keep investing. A softer U.S. dollar-cum-acceleration in global growth supports U.S. exports and foreign earnings. Stimulative fiscal and monetary policies add more fuel to the fire. The upshot: S&P 500 earnings growth of 14% this year, following a solid rise of 13% last year.

But it's not all smooth sailing from here. It never is—markets and economies don't move linearly, but rather in fits and starts. Market volatility has increased along with the spike in oil prices—how long oil prices stay at current elevated levels will determine asset prices in the near-term.

Against this backdrop, diversification remains key. We believe the broadening performance across sectors, styles and regions will likely continue this year (Exhibit 2A). We remain overweight Financials, Utilities, Consumer Discretionary and Industrials. This month we upgraded Materials to neutral from slightly underweight and downgraded Communication Services to slightly underweight from neutral. We favor diversified exposure across the capitalization spectrum. Regionally speaking, EMs remain a high-conviction idea given strong aggregate earnings trends and should benefit from the eventual de-escalation in the Middle East given their net energy importer status. Finally, as we have repeated many times, we view periods of weakness in Equity markets, particularly those driven by a lot of headline noise, as potential opportunities to rebalance over and underexposures.

How could recent events in the Middle East impact the U.S. economy and markets? The effects—thus far—have been nominal and marginal. The key is the length and breadth of the conflict. The longer and broader the war, the greater the potential for elevated consumer prices, slower growth or stagflation, and more risk-off market momentum. That's not our base case, but one potential scenario we are watching carefully.

The first order effects were in the Energy sector. Since the conflict started, Brent crude prices have jumped by more than 27%. The U.S. is not immune to higher global energy prices, but as Exhibit 2B highlights, the U.S.—unlike Japan, China and Europe—is a net energy exporter. Net oil importers have experienced the most market downside since the conflict started. In the end, geopolitical events typically spark immediate or near-term market selloffs, before resetting and rebounding on fading concerns of lasting effects.

Outside of geopolitics, what are other risks on our radar screen? 2026 has hardly been boring. Geopolitics have collided with the Supreme Court's decision to reject the President's use of IEEPA[2] to impose tariffs; the failure of a small U.K. mortgage provider that stoked more worries over the financial health of Private Credit and potential for credit contagion; and the narrative that AI is about to eat everything in its path, leaving workers without work and companies as shells.

From our vantage point, AI poses a more persistent source of market anxiety than developments in the Middle East. But the doomsday narrative that has slammed industries ranging from information technology services to real estate management to consumer payment companies is overdone, in our opinion. The S&P 500 Software and Services industry group is now nearly 25% off its late-October high, while more traditionally cyclical, "old-economy" industries like metals and mining, machinery, freight and logistics, and chemicals have outperformed year-to-date. Like in prior technology cycles, we don't expect AI to disrupt industries equally, and identifying AI leaders and laggards will ultimately take time. Meanwhile, as far as potential disruption to the labor market goes, the question is not "if" but "how" and "when." So far, AI adoption has increased gradually

Portfolio Considerations

Against a backdrop of solid fundamentals, recent movement in Small-caps and EMs may be an opportunity to add exposure for investors who are underweight. Potential AI disruption calls for diversified exposure in portfolios across sectors, styles and regions, overlayed with high-conviction themes including biotechnology and life sciences, grid and industrial infrastructure, and the broader defense and military-industrial complex.

[2] International Emergency Economic Powers Act.

rather than exponentially (Exhibit 2C). How much AI will affect Private Credit given its sector tilt toward legacy software remains high on our radar screen.

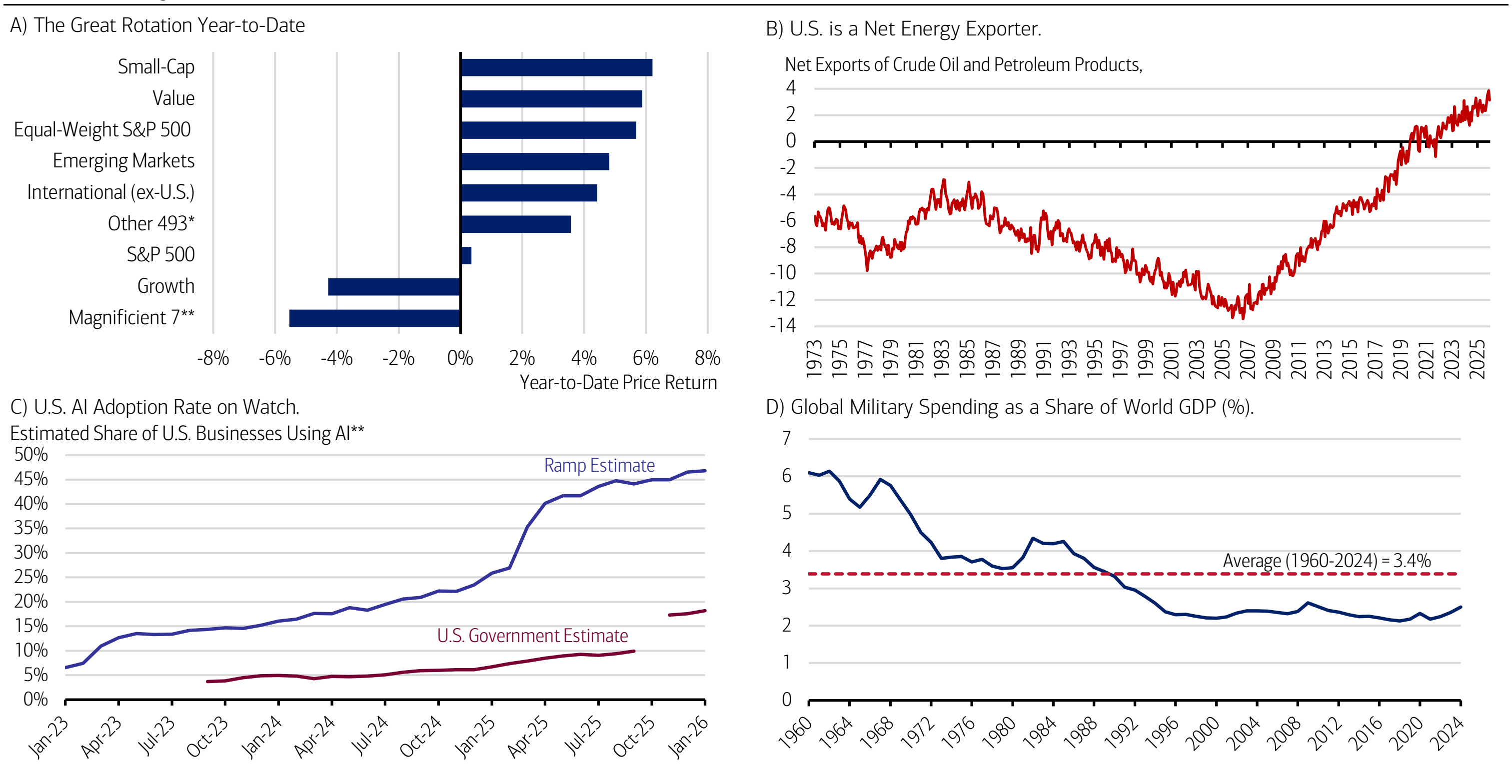
The bottom line: Investors should lean away from the apocalyptic narrative of AI laying waste to modern capitalism and rather lean towards the idea that over time, the AI revolution could result in a more productive and innovative-led U.S. economy that should generate elevated market returns. That is our base case.

In a world of heightened uncertainty, what are our high conviction themes? Thematic investing has never been more important given the tectonic shifts in the global economy—shifts that create potential opportunities for investors with an eye for the long term. Start with AI: We expect biotechnology and life sciences to be a major beneficiary of AI applications. Ditto for the buildout and modernization of the U.S. grid and industrial infrastructure. Water management, transportation, financial services and retail should benefit from the productivity-enhancing effects of AI as well.

And in a world fraught with geopolitical pressure points—where might makes right and geographic boundaries seem more fungible—we continue to expect aerospace and defense to be among the largest receivers of investment capital in the years ahead. Among our high-conviction themes: defense and the entire ecosystem in and around a military-industrial complex. Think rising demand for critical minerals and strategic metals (key inputs to defense technology), the broader supply chain (modern ammunition, cybersecurity, grid security, etc.) and technology (semiconductors, sensors, etc.) which are positioned to benefit after decades of underinvestment.

And speaking of underinvesting, as Exhibit 2D highlights, notwithstanding all the geostrategic pressures points of today, global military spending as a percentage of global GDP remains historically low. In 2024, global defense outlays as a percent of world GDP were just 2.5%, below the long-term annual average of 3.4%. We expect this gap to narrow in the years ahead.

Exhibit 2: Key Charts on Our Radar Screen.



*Other 493 is the S&P 500 minus the Magnificent 7. **Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla. Exhibit 2A) Indexes referenced: Russell 2000 Index (Small-Cap); Russell 1000 Value Index (Value); MSCI EM Index (Emerging Markets); MSCI ACWI ex-U.S. Index (International); Russell 1000 Growth (Growth). Source: Bloomberg. Data as of March 5, 2026. Exhibit 2B) Source: Energy Information Administration. Data as of March 2, 2026. Exhibit 2C) **Ramp estimate reflects share of U.S. businesses with paid subscriptions to AI models, platforms and tools. U.S. government estimate reflects share of businesses using AI in the last two weeks. Note: Beginning in late 2025, the Census Bureau adjusted its survey to capture utilization of AI in "any business function" rather than "in producing goods and services." Source: Ramp AI Index, U.S. Census Bureau. Data as of March 2026. Exhibit 2D) Source: The Stockholm International Peace Research Institute (SIPRI). Data through 2024, as of March 2026. **Past performance is no guarantee of future results**. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

THOUGHT OF THE WEEK

More Signs of a Manufacturing Upcycle

Kirsten Cabacungan, Vice President and Investment Strategist

The manufacturing economy looks to be breaking out of its slump, and that turn could give real staying power to the equity market broadening trend. U.S. factory activity expanded for the second straight month in February, with the ISM manufacturing purchasing managers' index (PMI) rising above 50 for only the third time in 40 months and marking the first back-to-back expansionary readings since September 2022. The unexpected jump in January had raised questions about whether the improvement was merely a one-off, but February's print, slightly lower yet still signaling growth, strengthens the case that this could be the early stage of a manufacturing upcycle.

Importantly, demand side components helped drive the recent improvement. New orders and production remained firmly in growth territory, while rising order backlogs and persistently low customer inventories continue to point to future production needs, reinforcing supportive underlying demand dynamics. This strengthening in the ISM also aligns with a broader turn higher across other manufacturing surveys since last summer.

Signs of a more sustained manufacturing cycle are also showing up in Equity leadership. Small-caps have dominated this year, with the Russell 2000 Index outperforming the S&P 500 by roughly three percentage points year-to-date, after lagging for much of the past several years, and a rising share of index constituents trading above their 200-day moving averages (Exhibit 3A). The absence of a manufacturing recovery had been a key risk for the size segment, given its sensitivity to domestic demand and ISM's strong historical correlation with Small- versus Large-cap relative performance. Historically, the Russell 2000 has been up a median 14% in the 12 months after the ISM first crossed above 50—most of it in the initial six months—and has outperformed Large-caps 70% of the time over the next six- and 12-month periods, according to BofA Global Research.

Breadth is also proving fundamental, not just technical. Q4 S&P 500 earnings rose 14% year-over-year, marking the fifth straight quarter of double-digit growth and a solid 7% beat. All sectors except Consumer Discretionary delivered positive earnings growth. While mega-cap technology stocks continued to lead, the earnings growth gap with the rest of the index is expected to narrow in 2026 as manufacturing upcycles tend to translate into broader earnings momentum. Early signs of a wider earnings contribution are already visible, with upward versus downward earnings revisions improving meaningfully from depressed levels last year (Exhibit 3B).

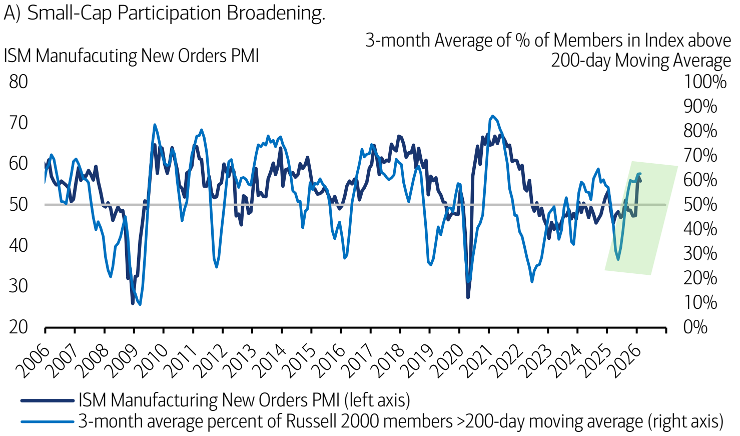
Easier monetary policy and a strong fiscal impulse should help underpin economic momentum ahead. While geopolitical risks bear monitoring, they are emerging against a backdrop of improving industrial activity. If that momentum holds, it could further reinforce the recent broadening in equity market leadership into a more durable trend.

Portfolio Considerations

As the manufacturing cycle turns up and market breadth expands, portfolios concentrated in mega-caps may benefit from diversifying across and within Equities, including increasing exposure to Small-caps and emerging cyclical leadership. We would leverage market weaknesses and excessive strength to rebalance tactical exposures in the coming months.

Exhibit 3: A Manufacturing Rebound Should Help Support Wider Market Breadth And Earnings Momentum.

A) Small-Cap Participation Broadening.



B) Net Earnings Revisions Trend Improving.

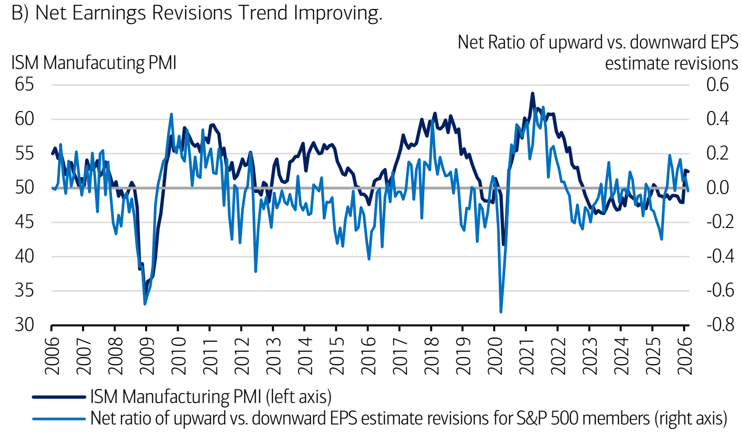


Exhibit 3A) Green shading represents an improving trend. Sources: Institute for Supply Management; Bloomberg. Data as of March 4, 2026. Exhibit 3B) Sources: ISM; Bloomberg. Data as of March 4, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Asset Class Weightings (as of 3/4/2026)

Asset Class	Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	Underweight		Neutral		Overweight
Financials					●
Utilities				●	
Consumer Discretionary				●	
Industrials				●	
Information Technology			●		
Healthcare			●		
Materials		▶	●		
Real Estate		●			
Consumer Staples		●			
Communication Services		●	◀		
Energy	●				

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of March 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 3/6/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.5*	-	-	-	-	3.6
Real U.S. GDP (% q/q annualized)	1.4	2.2*	3.3	3.0	2.0	2.0	2.8
CPI inflation (% y/y)	2.7	2.7*	2.7	3.1	2.8	2.7	2.8
Core CPI inflation (% y/y)	2.7	2.9*	2.6	2.8	2.6	2.7	2.7
Unemployment rate (%)	4.5	4.3*	4.5	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of March 6, 2026.
Sources: BofA Global Research; GWIM ISC as of March 6, 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	47,501.55	-2.9	-2.9	-0.9
NASDAQ	22,387.68	-1.2	-1.2	-3.6
S&P 500	6,740.02	-2.0	-2.0	-1.3
S&P 400 Mid Cap	3,410.32	-4.6	-4.6	3.4
Russell 2000	2,525.30	-4.0	-4.0	1.9
MSCI World	4,407.04	-3.3	-3.3	-0.4
MSCI EAFE	2,964.26	-6.7	-6.7	2.7
MSCI Emerging Markets	1,499.72	-6.9	-6.9	6.9

Commodities & Currencies

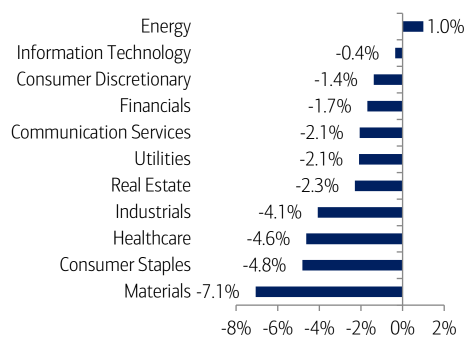
	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	333.30	8.1	8.1	20.7
WTI Crude $/Barrel††	90.90	35.6	35.6	58.3
Gold Spot $/Ounce††	5171.74	-2.0	-2.0	19.7

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.16	1.18	1.18	1.17
USD/JPY	157.78	156.05	156.05	156.71
USD/CNH	6.90	6.86	6.86	6.98

Fixed Income†

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.27	-0.95	-0.95	0.67
Agencies	4.00	-0.53	-0.53	0.69
Municipals	3.44	-0.77	-0.77	1.41
U.S. Investment-Grade Credit	4.36	-0.96	-0.96	0.77
International	4.90	-0.95	-0.95	0.51
High Yield	6.95	-0.44	-0.44	0.26
90 Day Yield	3.66	3.66	3.66	3.63
2 Year Yield	3.56	3.37	3.37	3.47
10 Year Yield	4.14	3.94	3.94	4.17
30 Year Yield	4.76	4.61	4.61	4.84

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 3/2/2026 to 3/6/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 3/6/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Institute for Supply Management Manufacturing and Non-manufacturing Composite Index measures the economic condition and performance of manufacturing- and service-based companies

Small-caps/ Russell 2000 Index is a premier stock market benchmark that tracks the performance of approximately 2,000 small-cap U.S. companies, acting as a key indicator of the domestic economy.

Value/Russell 1000 Value Index measures the performance of the large-cap segment of the US equity universe.

Emerging Markets/MSCI Emerging Markets Index is a benchmark index designed to measure the equity market performance of large and mid-cap companies across 24-27 developing economies.

International/MSCI All-Country World Index ex-U.S. captures large and mid cap representation across 22 of 23 Developed Markets (DM) countries (excluding the US) and 24 Emerging Markets.

Growth/Russell 1000 Growth Index measures the performance of the large- cap growth segment of the US equity universe.

Ramp AI Index measures the adoption rate of artificial intelligence products and services among American businesses.

Institute for Supply Management Manufacturing Purchasing Managers' Index is based on monthly surveys of carefully selected companies representing major and developing economies worldwide.

Institute for Supply Management Manufacturing PMI New Orders Index shows the number of new orders from customers of manufacturing firms reported by survey respondents compared to the previous month.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private-credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity and your tolerance for risk.

Nonfinancial assets, such as closely-held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

March 2, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Beyond Goods—The Expected Boom in China's Knowledge-Intensive Exports:* China's trade is shifting from goods toward high-value, knowledge-intensive services such as information and communication technology (ICT), research & development (R&D), and Artificial Intelligence (AI), a transition that supports a positive outlook for China's technology leaders.

Market View—*In Times of Uncertainty, Choose Fundamentals Over Fear:* Despite negative headlines and elevated uncertainty, market and economic fundamentals remain strong, countering fears around market breadth, tariffs, consumer health, and foreign investment. The key takeaway is to prioritize fundamentals over fear when navigating volatile markets.

Thought of the Week—*The Sentiment-Spending Disconnect*: Despite weak consumer sentiment, resilient spending, supportive hard data, and expected 2026 tailwinds point to a more constructive consumer and Equity outlook than surveys alone suggest.

From the CIO—*Market Update: A Snapshot of Middle East Uncertainties and Market Effects*: The aftershocks from the war in the Middle East will dictate price movements for multi-assets in the near-term. The duration of the conflict, and how broad, are key factors to monitor. Per the accompanying table, geopolitical events are headline-grabbing but not market-moving over the medium-term. We continue to emphasize the highest level of diversification in portfolios.

Major geopolitical events and subsequent S&P 500 price returns.

Event	Date	1 day	1-month	3-month	6-month	12-month
Cuban Missile Crisis	16-Oct-62	-0.3%	5.4%	13.3%	21.1%	27.8%
JFK Assassination	22-Nov-63	4.0%	6.7%	11.5%	16.0%	23.9%
Six-Day War	5-Jun-67	2.0%	3.3%	6.5%	7.7%	13.0%
Bretton Woods Collapse	15-Aug-71	3.2%	4.6%	-3.7%	9.8%	17.0%
Arab Oil Embargo	19-Oct-73	-1.0%	-8.6%	-13.3%	-14.9%	-34.4%
Iranian Shah Overthrown	11-Feb-79	0.3%	1.7%	1.6%	7.8%	20.5%
Fall of Berlin Wall	9-Nov-89	0.8%	3.6%	-0.9%	1.9%	-6.8%
Start of Gulf War	17-Jan-91	1.3%	12.5%	19.1%	16.2%	27.7%
9/11 Terrorist Attacks	11-Sep-01	-4.9%	-1.1%	4.3%	6.6%	-16.7%
Fukushima Nuclear Disaster	11-Mar-11	-0.6%	1.5%	-2.6%	-11.5%	5.1%
Russia Annexes Crimea	20-Feb-14	-0.2%	1.8%	1.8%	8.0%	14.7%
Brexit Vote	23-Jun-16	-3.6%	2.9%	2.4%	7.1%	15.4%
Russia-Ukraine Conflict	24-Feb-22	2.2%	5.4%	-8.1%	-3.4%	-7.4%
Israel-Hamas War	7-Oct-23	0.6%	1.3%	9.0%	20.8%	33.5%
12-Day War	13-Jun-25	0.9%	4.7%	10.2%	14.2%	--
Average		*0.3%*	*3.1%*	*3.4%*	*7.2%*	*9.5%*

Source: Bloomberg. Data as of March 1, 2026. If the market was closed on the event date, the date of the previous market close was referenced. The one-day return for the 9/11 attacks after reopening of the market was on 9/17/2001. The one-day return for the JFK assassination after the reopening of the market was on 11/26/1963. **FOR INFORMATIONAL PURPOSES ONLY**. Indexes are unmanaged and do not take into account fees or expenses. **Past performance is no guarantee of future results.** Please refer to important disclosures at the end of this report.

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MACRO STRATEGY ▶

MARKET VIEW ▶

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MARKETS IN REVIEW ▶

Portfolio Considerations

With new highs expected for Equities ahead, investors should consider portfolio adjustments such as increasing exposure to Small-caps and Emerging Markets as well as diversified sector exposures where underweight, leveraging Fixed Income as a ballast while maintaining an Equity overweight, and adding to growth themes and Alternative Assets, for qualified investors, where appropriate.

We are constructive on Fixed Income overall but underweight in order to fund our Equity overweight. We continue to project range-bound yields given sticky inflation and real gross domestic product remaining near or above 2% for the next few years. However, we recognize potentially high volatility in either direction, especially given the expected change in Federal Reserve leadership later this year.

MACRO STRATEGY

Beyond Goods—The Expected Boom in China's Knowledge-Intensive Exports

Joseph P. Quinlan, Managing Director and Head of CIO Market Strategy

Ariana Chiu, Assistant Vice President and Investment Strategist

No nation in the world exports as much merchandise as China. But having conquered global trade in goods, China is now rapidly moving up the global ranks as a leading exporter of knowledge-intensive services. This dynamic is one more reason why we remain constructive on China technology leaders for the long run. As we continue to emphasize to investors, the global race for technological supremacy is a two-horse race—between the U.S. and China. In terms of portfolio construction, own both—or technology leaders in the U.S. and China.

China's new trade paradigm rests on rising exports of services like ICT, construction management, engineering services, data analytics, R&D, and, to a lesser degree, financial services and intellectual property rights. Add up these services, and China already ranks as the world's sixth-largest exporter, up from 12th place in 2005 (Exhibit 1A).

The country now earns more from exports of ICT services ($100 billion in 2024) than traditional export staples like toys ($82 billion) and footwear ($51 billion). Exports of "other business services"—a combination of consulting services, R&D, and technical-related activities—totaled $113 billion in 2024, well ahead of exports of iron and steel ($71 billion) and apparel ($85 billion). And construction service exports in 2024 ($34 billion) were greater than exports of glassware ($25.5 billion) and pharmaceutical products ($12 billion), as depicted in Exhibit 1B.

Service exports like construction have soared due in large part to China's "One Belt, One Road" initiative. Since the program was announced in 2013, construction service exports have tripled, rising from $10.7 billion in 2013 to $33.6 billion in 2024. By ploughing billions of dollars into infrastructure projects around the world, China's mega-development strategy has not only supercharged China's exports of steel, cement, heavy equipment and other goods needed to build ports, highways, power plants and railways. It has also boosted service exports required to keep the ports, railways and power plants humming—think operations management contracts, digital monitoring systems, technical training, maintenance agreements, software upgrades, cloud computing capabilities and related service activities.

Similarly, when China's leading telecommunication leaders install a 4G or 5G network in Pakistan, or a China's technology giant builds a data center in Brazil, it's not one and done. What typically follows are multiyear-managed-service agreements that include software updates, technical support, network maintenance and related activities that lock in the business for years—and drive growth in services trade. Indeed, export services of telecommunication, computer and information services have quadrupled just in the past decade, rising from 2015 ($25.8 billion) to $100 billion in 2024.

In addition, as China has moved up the value-added curve in exports of electrical vehicles, robots, drones, solar panels, and wind turbines, the expansion in knowledge-intensive service exports have followed. Each one of these products are highly digitalized and are accompanied with an array of recurring service requirements that only strengthens and fortifies China's competitive position in various markets around the world.

Trade in hardware (goods) has led to more trade in software (services)—one pulls the other. In reality, this means that the export of electrical vehicles comes with software upgrades; the export of robots and drones comes with the export of cloud connectivity services and remote monitoring systems; and the export of solar panels and wind turbines comes with the exports of technical services and maintenance.

Services increasingly account for a rising value of China's manufacturing exports. This represents a new front in China's trade with the world—but it doesn't end there.

Enter AI and China's advances in open-source AI. More affordable and accessible to end users, DeepSeek's large language models (LLM) and other iterations from China are gaining traction around the world, notably in Africa, Russia, the Middle East and other emerging markets. Indeed, the number of cumulative global downloads of China's open-sourced AI models surpassed those of the U.S. last September, with the gap only widening since then (Exhibit 1C).

Portfolio Considerations

As China expands its knowledge-intensive exports and competes with the U.S.' AI capabilities, portfolios have the potential to benefit from being exposed to technology leaders both in the U.S. and in China. We remain overweight Emerging Markets (EM) which are heavily levered to technology companies in Asian markets.

And as an aside, open-source LLMs from China are not are not just surging in popularity in the emerging markets. They are also gaining popularity and adoption in the U.S. Cost-effective, high performing, and frequently updated—owing to these factors, 80% of U.S. AI startups rely on China's open-source models instead of U.S. models.[1] Rising AI adoption rates of China models means more AI-enabling activities and more demand for China's knowledge-intensive exports including ICT services, real-time data processing, predictive maintenance data analytics, systems integration and smart infrastructure management.

Given all the above, China's trade in knowledge-intensive services has swung from a perennial deficit over much of this century to a surplus beginning around 2015 (Exhibit 1D). The surplus in trade in "other services" topped $80 billion in 2024—and putting that number into perspective; when it comes to running a trade surplus in "other services" or construction and knowledge-intensive trade, China now ranks fourth in the world, trailing only the U.S., the U.K. and India. Within the category of "other services," construction trade posted a surplus of $25 billion in 2024; the trade surplus in ICT was a record $60 billion; and the surplus in "other business services" including R&D totaled $48 billion—also a record high.

More broadly, and for some context, China's total service exports remain second fiddle to China's trade in goods. In 2024, total service exports accounted for just 12.5% of goods exports in 2024. In addition, China still runs an overall deficit in total services owing to a large deficit in travel (visitors from China spending more overseas than foreign visitors spending in China) and a deficit in education receipts. It also runs a deficit in intellectual property royalites since the nation remains a net importer of intellectual property.

However, investors should see the big picture, which is this: China's trade has entered a new phase—think not only high-end goods like electrical vehicles, robots and drones but also construction services and knowledge-intensive services exports that range from telecommunication platforms to AI-embedded capabilities. Against this backdrop, we remain constructive on China technology.

Exhibit 1: China's New Trade Paradigm Rests on Services Exports.

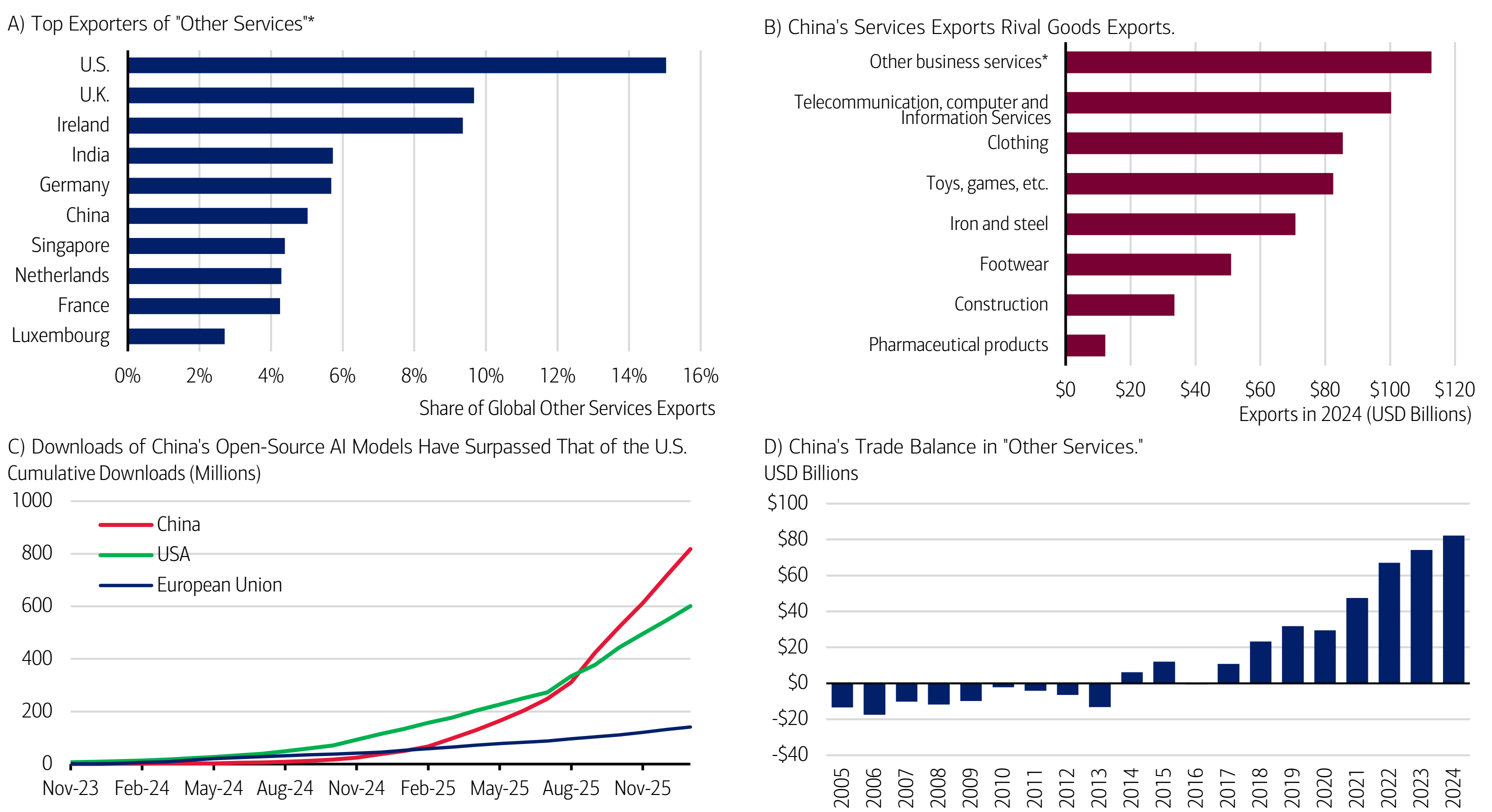


Exhibit 1A) *Includes construction, insurance and pension services, financial services, charges for use of intellectual property, telecommunication/computer/information services, other business services, recreational services, and government goods and services. Source: World Trade Organization (WTO). Data as of February 2026. Exhibit 1B) *Includes R&D, consulting services, and trade and technical-related services. Source: WTO; International Trade Centre. Data as of February 2026. Exhibit 1C) Source: The ATOM Project, Hugging Face. Data as of February 24, 2026. Exhibit 1D) Source: WTO. Data as of February 2026.

[1] "80% of AI start-ups applying for VC funding with Andreessen Horowitz are using Chinese Open-source AI.", European Central Station, 2025.

MARKET VIEW

In Times of Uncertainty, Choose Fundamentals Over Fear

Ariana Chiu, Assistant Vice President and Investment Strategist

In today's attention economy, it's easy to get distracted by the nonstop stream of (usually negative) headlines. But as investors, and especially in times of heightened uncertainty, it's important to remember that underlying fundamentals ultimately drive the economy and markets. While risks certainly remain, there's a lot to like about what's taking place in the global economy and markets. Fundamentals are still largely intact—a fact that doesn't tend to go viral or make front-page news. Below we address some common current fears and why fundamentals suggest otherwise.

Portfolio Considerations

With U.S. Equities churning under the surface, we urge investors to take advantage of broadening fundamentals in portfolios, increasing exposure to areas like Small-caps and EMs for those who are underweight and maintaining diversified exposure to Value and Growth. Demand for U.S. securities should remain robust this year, and a gradual weakening rather than disorderly downfall of the dollar is likely.

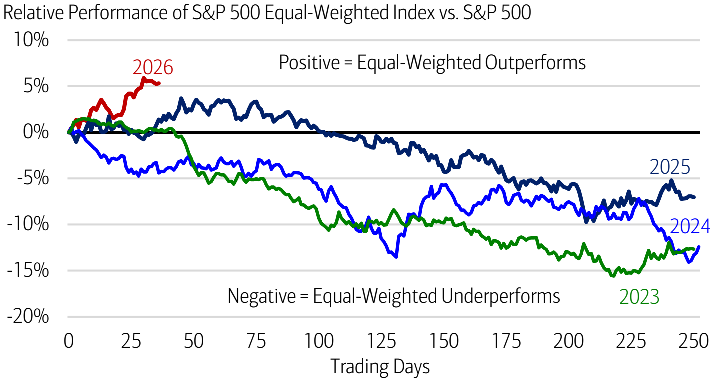
On fear that this bull market is too narrow to last… Concerns surrounding U.S. equity market concentration and the return on AI investment (or lack thereof) continue to swirl. As recent volatility suggests, AI now has a long list of fears attached to it, ranging from the belief that agentic AI will lead to mass white collar unemployment and a global recession to the fear that limited AI adoption will end in massive overinvestment and abandoned data centers.

The wall of worry is high, and yet the average stock in the S&P 500 has fared surprisingly well over the last few months. So far in 2026, the equal-weighted S&P 500 has outperformed its market cap-weighted counterpart by the widest margin since 1992,[2] a stark departure from three consecutive years of ultra-narrow performance (Exhibit 2A). Breadth is at record levels, as Exhibit 2B highlights, with more than 320 companies in the S&P 500 outperforming the broader index year-to-date (including none of the Magnificent 7[3]). Strength from areas of the market outside of technology have pulled their weight since last November—hence an S&P 500 just 1% to 2% off an all-time high despite industries like software in bear market territory. Internals still look good for the broader index, with 68% of stocks above their 200-day moving average. All of this is good news for the sustainability of this bull market.

Exhibit 2: The Broadening is Finally Here.

A) 2026: Year of the Average Stock?

Relative Performance of S&P 500 Equal-Weighted Index vs. S&P 500



B) Record Breadth After 3 Years of Ultra-Narrow Performance.

Number of Constituents Outperforming Broader S&P 500

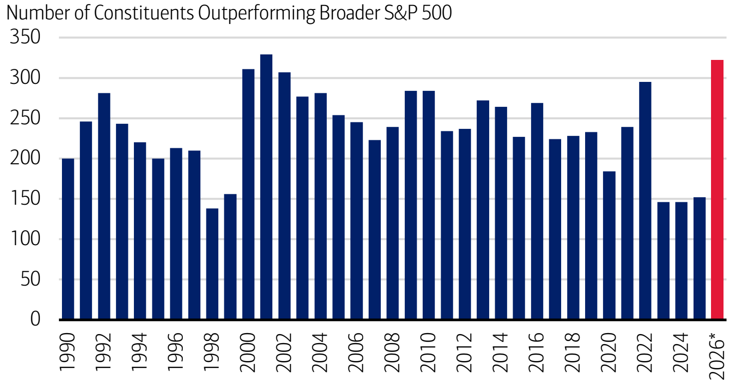


Exhibit 2A) Source: Bloomberg. Data as of February 24, 2026. Exhibit 2B) *Year-to-date. Source: Bloomberg. Data as of February 24, 2026. **Past performance is no guarantee of future results**. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

On fear that renewed tariff uncertainty will cripple corporate America… With the Supreme Court's decision on February 20, IEEPA tariffs have been replaced with Section 122 tariffs for the next 150 days. While lower tariffs for countries like China and Brazil are good news in the near term for many companies, it's clear that tariff uncertainty will continue to be a feature of 2026. Alternative authorities to the International Emergency Economic Powers Act are likely to keep the effective tariff rate well above where it averaged prior to 2025 (around 2.2% over the prior 10 years[4]). Meanwhile, lengthy sector- and country-specific investigations will make tariff implementation more cumbersome.

With that said, it shouldn't be lost on investors that corporate America managed record profit margins and earnings growth through the Liberation Day (April 2) shakeout. Q4

[2] Refers to the first 36 trading days of the year. Bloomberg. Data as of February 24, 2026.

[3] Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla

[4] U.S. International Trade Commission.

RETURN TO FIRST PAGE

earnings growth for the S&P 500 is tracking at 14% year-over-year (YoY), marking the fifth straight quarter of double-digit earnings growth or its longest such streak since 2018. Well-diversified investors are also benefitting from a broadening in profits not only across sectors but also along the cap spectrum and to the rest of the world. Hence our preference in portfolios for Small-caps, EMs, and a balance of Value and Growth.

On fear that household balance sheets, particularly among lower-income consumers, are deteriorating… It's no secret that spending in the U.S. has been increasingly top-heavy, not only by income but also by education and age. Spending of college graduates has grown about 2.4% faster than that of nongraduates since 2023.[5] Meanwhile, those aged 55 and older now account for some 45% of overall U.S. consumption, up from less than 30% at the start of the century.[6] It's hardly an even playing field out there.

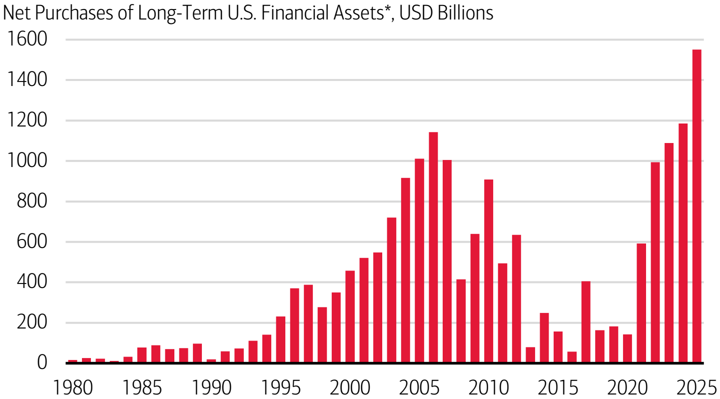
However, data from the Federal Reserve continues to suggest balance sheets are strong—not just in aggregate or among wealthier households but across income cohorts. To wit, debt as a share of household net worth among the bottom 20% of households by income currently stands at 16.1%, having gradually declined from 20% at the start of the decade and technically now at the lowest level since 1999. A similar pattern can be observed across income quintiles. In other words, though higher prices have weighed on lower-income households and while delinquency rates bear watching, consumer balance sheets across the income spectrum are still in historically solid shape.

And finally, on fear that foreign investors are bailing on the U.S.… Like in 2025, the narrative that foreign investors are abandoning U.S. assets on macro/geopolitical developments has gripped headlines this year. Yet there has been little evidence of this in the latest data from the Treasury Department, which showed that foreign investors purchased a record net $1.55 trillion of long-term U.S. financial assets in 2025—a stunning 31% increase from $1.18 trillion in 2024 (Exhibit 3A). Included were $720 billion of net equity purchases and $409 billion in Treasury notes and bonds. Foreign demand has proven strong to start the year too; 19% of January's note and bond auctions were allotted to foreign accounts, the highest share in three years.[7]

Indeed, the "sell America" trade has been more bark than bite. The decline in the dollar, now 8% below where it entered 2025 on a real trade-weighted basis, has primarily reflected foreign investors from Asia and Europe hedging their dollar exposure after a decade of robust U.S. returns. So far this year, the greenback has declined more than 1% in trade-weighted terms but remains overvalued (Exhibit 3B). We expect the dollar to strengthen in the near-term given conflict in the Middle East before resuming a slightly weaker path. Don't buy into the fear that foreigners have given up on U.S. assets.

Exhibit 3: Fade the Foreign Buyer Strike.

A) So Much for the "Sell America" Trade.
Net Purchases of Long-Term U.S. Financial Assets*, USD Billions



B) Dollar Remains Overvalued on a Historical Basis.
Real Trade-Weighted USD

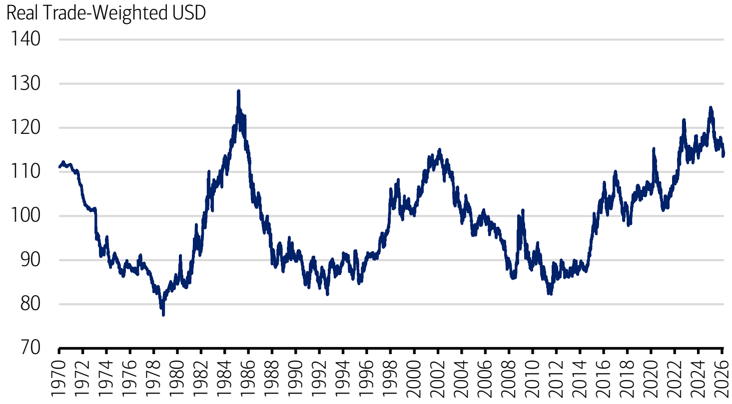


Exhibit 3A) *Includes Equities, Treasurys, Agencies, and Corporates. Source: U.S. Treasury. Data as of February 24, 2026. Exhibit 3B) Source: Bloomberg, Federal Reserve. Data as of February 24, 2026.

[5] Federal Reserve Bank of New York. Data through December 2025 as of February 3, 2026.
[6] Moody's Analytics. Q3 2025 data as of February 24, 2026.
[7] U.S. Treasury. Data as of February 24, 2026.

THOUGHT OF THE WEEK

The Sentiment-Spending Disconnect

Theadora Lamprecht, Assistant Vice President and Investment Strategist

The U.S. consumer backdrop is increasingly defined by a divergence between 'soft' data and 'hard' data: sentiment remains subdued, while spending continues to prove more resilient than expected.

Sentiment is cautious but may be nearing an inflection point for markets. Survey-based measures, such as the Conference Board Consumer Confidence Index and University of Michigan Consumer Sentiment Index, remain below pre-pandemic levels, reflecting persistent concerns about affordability. Households may be employed and earning but remain uneasy about real purchasing power.

Even so, there are emerging bright spots. The Conference Board's February reading came in above expectations at 91.2, up from the prior month's upwardly revised 89.0. Labor market perceptions remain constructive: a greater number of participants said that jobs were "plentiful" (28%) compared to "hard to get" (21%). For investors, periods of depressed sentiment have historically created favorable entry points for Equities. Across the past seven major peaks and troughs in the University of Michigan Index, average 12-month forward S&P 500 returns following a sentiment peak were roughly 4.3%, compared with a whopping 25.0% following a trough. In other words, when consumer confidence reaches extreme lows, subsequent equity market performance has tended to be meaningfully stronger (Exhibit 4).

Spending remains strong. According to the Bureau of Economic Analysis, personal consumption expenditures continue to expand, with services spending providing notable support. Internal Bank of America Institute data tells a similar story: Total credit/debit card spending per household increased 2.6% YoY in January, the largest increase since February 2024. Additionally, consumption remains the largest contributor to GDP growth.

Positive after-tax wage growth and wealth effects have sustained higher-income discretionary spending. Wage growth dispersion between higher- and lower-income cohorts hasn't widened further from last fall's peak, and despite some uptick in credit-card delinquencies, median checking/savings balances remain above inflation-adjusted 2019 levels. Also, tax refunds are expected to be 26% higher compared to 2025, with over 36% of consumers[8] using refunds to pay down debts. This should shore up the consumer balance sheet and boost spending.

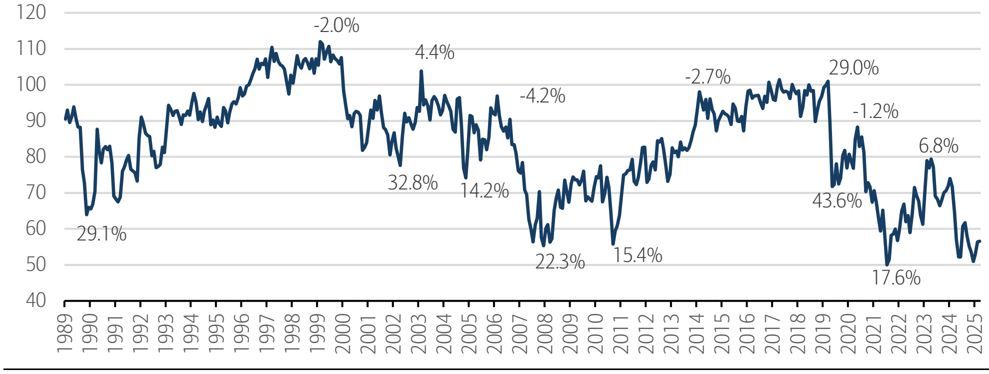
Looking ahead: The consumer outlook may prove more constructive than sentiment alone suggests. Historically, sentiment tends to lag underlying economic improvements, and we see many tailwinds for the consumer; the labor market remains stable, gas prices are around $3.00 per gallon, below their five-year average of $3.40, and a wave of fiscal stimulus is expected to hit accounts, all of which should broaden purchasing power across cohorts. These catalysts may allow perceptions to begin to catch-up with consumption.

Portfolio Considerations

With a resilient consumer base, a relatively solid job market, and additional fiscal stimulus expected in the first half of 2026, we remain slightly overweight the Consumer Discretionary sector. Households continue to adjust their budgets to prioritize experiences and essentials, with higher-income consumers further supported by wealth effects from rising home values and equity portfolios. Conversely, we maintain a slight underweight in Consumer Staples as ongoing trade-down behavior and rising preference for private-label products continue to pressure margins and profitability for branded manufacturers.

Exhibit 4: Low Sentiment Leads to Positive 12-month Forward Returns.

University of Michigan Consumer Sentiment Index Peaks/Troughs and S&P 500 Index 12-month Forward Returns Percentage.



Source: Bloomberg; Fidelity Investments. Price returns used. Data as of February 28, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

[8] Bank of America Institute. Survey conducted in early February 2026 of 1,007 individual owing more than two types of debt to gain insights into the types of debt owed and payment behavior, including how they prioritize debt payments.

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Asset Class Weightings (as of 2/3/2026)

Asset Class	CIO View / Underweight		Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View / Underweight		Neutral	Overweight	
Financials					●
Utilities				●	
Consumer Discretionary				●	
Industrials				●	
Communication Services			●		
Information Technology			●		
Healthcare			●		
Real Estate		●			
Consumer Staples		●			
Materials		●			
Energy	●				

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of February 3, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 2/27/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.6*	-	-	-	-	3.5
Real U.S. GDP (% q/q annualized)	1.4*	2.2*	2.6	3.0	2.0	2.0	2.8
CPI inflation (% y/y)	2.7	2.7*	2.5	3.0	2.7	2.6	2.7
Core CPI inflation (% y/y)	2.7	2.9*	2.6	2.8	2.6	2.7	2.7
Unemployment rate (%)	4.5	4.3*	4.5	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of February 27, 2026.
Sources: BofA Global Research; GWIM ISC as of February 27, 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	48,977.92	-1.3	0.3	2.1
NASDAQ	22,668.21	-0.9	-3.3	-2.4
S&P 500	6,878.88	-0.4	-0.8	0.7
S&P 400 Mid Cap	3,575.27	-0.9	4.1	8.3
Russell 2000	2,632.36	-1.2	0.8	6.2
MSCI World	4,556.79	0.1	0.7	3.0
MSCI EAFE	3,179.91	1.2	4.6	10.1
MSCI Emerging Markets	1,610.70	2.8	5.5	14.8

Commodities & Currencies

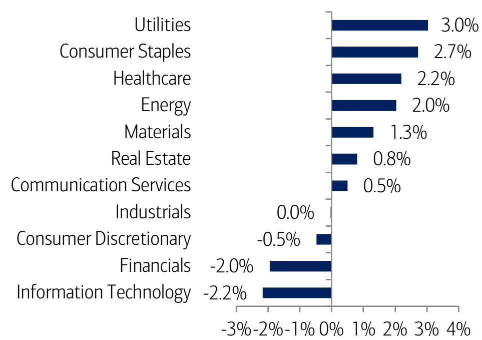
	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	308.23	1.7	1.1	11.6
WTI Crude $/Barrel††	67.02	0.9	2.8	16.7
Gold Spot $/Ounce††	5278.93	3.4	7.9	22.2

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.18	1.18	1.19	1.17
USD/JPY	156.05	155.05	154.78	156.71
USD/CNH	6.86	6.90	6.96	6.98

Fixed Income†

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.09	0.52	1.64	1.64
Agencies	3.83	0.42	1.11	1.23
Municipals	3.29	0.33	1.25	2.20
U.S. Investment-Grade Credit	4.16	0.54	1.64	1.75
International	4.73	0.21	1.29	1.47
High Yield	6.71	-0.22	0.19	0.69
90 Day Yield	3.66	3.67	3.65	3.63
2 Year Yield	3.37	3.48	3.52	3.47
10 Year Yield	3.94	4.08	4.24	4.17
30 Year Yield	4.61	4.72	4.87	4.84

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 2/23/2026 to 2/27/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 2/27/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500/Market-cap Weighted Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Equal Weighted Index is the equal-weight version of the widely-used S&P 500. The index includes the same constituents as the capitalization weighted S&P 500, but each company in the S&P 500 EWI is allocated a fixed weight - or 0.2% of the index total at each quarterly rebalance.

Conference Board Consumer Confidence Index is a barometer of the health of the U.S. economy from the perspective of the consumer. The index is based on consumers' perceptions of current business and employment conditions, as well as their expectations for six months hence regarding business conditions, employment, and income.

University of Michigan Consumer Sentiment Index is a monthly survey of consumer confidence levels in the United States conducted by the University of Michigan.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative Investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private-credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity and your tolerance for risk.

Nonfinancial assets, such as closely-held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

CHIEF INVESTMENT OFFICE

Capital Market Outlook

March 2, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Beyond Goods—The Expected Boom in China's Knowledge-Intensive Exports:* China's trade is shifting from goods toward high-value, knowledge-intensive services such as information and communication technology (ICT), research & development (R&D), and Artificial Intelligence (AI), a transition that supports a positive outlook for China's technology leaders.

Market View—*In Times of Uncertainty, Choose Fundamentals Over Fear:* Despite negative headlines and elevated uncertainty, market and economic fundamentals remain strong, countering fears around market breadth, tariffs, consumer health, and foreign investment. The key takeaway is to prioritize fundamentals over fear when navigating volatile markets.

Thought of the Week—*The Sentiment-Spending Disconnect*: Despite weak consumer sentiment, resilient spending, supportive hard data, and expected 2026 tailwinds point to a more constructive consumer and Equity outlook than surveys alone suggest.

From the CIO—*Market Update: A Snapshot of Middle East Uncertainties and Market Effects*: The aftershocks from the war in the Middle East will dictate price movements for multi-assets in the near-term. The duration of the conflict, and how broad, are key factors to monitor. Per the accompanying table, geopolitical events are headline-grabbing but not market-moving over the medium-term. We continue to emphasize the highest level of diversification in portfolios.

Major geopolitical events and subsequent S&P 500 price returns.

Event	Date	1 day	1-month	3-month	6-month	12-month
Cuban Missile Crisis	16-Oct-62	-0.3%	5.4%	13.3%	21.1%	27.8%
JFK Assassination	22-Nov-63	4.0%	6.7%	11.5%	16.0%	23.9%
Six-Day War	5-Jun-67	2.0%	3.3%	6.5%	7.7%	13.0%
Bretton Woods Collapse	15-Aug-71	3.2%	4.6%	-3.7%	9.8%	17.0%
Arab Oil Embargo	19-Oct-73	-1.0%	-8.6%	-13.3%	-14.9%	-34.4%
Iranian Shah Overthrown	11-Feb-79	0.3%	1.7%	1.6%	7.8%	20.5%
Fall of Berlin Wall	9-Nov-89	0.8%	3.6%	-0.9%	1.9%	-6.8%
Start of Gulf War	17-Jan-91	1.3%	12.5%	19.1%	16.2%	27.7%
9/11 Terrorist Attacks	11-Sep-01	-4.9%	-1.1%	4.3%	6.6%	-16.7%
Fukushima Nuclear Disaster	11-Mar-11	-0.6%	1.5%	-2.6%	-11.5%	5.1%
Russia Annexes Crimea	20-Feb-14	-0.2%	1.8%	1.8%	8.0%	14.7%
Brexit Vote	23-Jun-16	-3.6%	2.9%	2.4%	7.1%	15.4%
Russia-Ukraine Conflict	24-Feb-22	2.2%	5.4%	-8.1%	-3.4%	-7.4%
Israel-Hamas War	7-Oct-23	0.6%	1.3%	9.0%	20.8%	33.5%
12-Day War	13-Jun-25	0.9%	4.7%	10.2%	14.2%	--
Average		*0.3%*	*3.1%*	*3.4%*	*7.2%*	*9.5%*

Source: Bloomberg. Data as of March 1, 2026. If the market was closed on the event date, the date of the previous market close was referenced. The one-day return for the 9/11 attacks after reopening of the market was on 9/17/2001. The one-day return for the JFK assassination after the reopening of the market was on 11/26/1963. **FOR INFORMATIONAL PURPOSES ONLY**. Indexes are unmanaged and do not take into account fees or expenses. **Past performance is no guarantee of future results.** Please refer to important disclosures at the end of this report.

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MACRO STRATEGY ▶

MARKET VIEW ▶

THOUGHT OF THE WEEK ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

With new highs expected for Equities ahead, investors should consider portfolio adjustments such as increasing exposure to Small-caps and Emerging Markets as well as diversified sector exposures where underweight, leveraging Fixed Income as a ballast while maintaining an Equity overweight, and adding to growth themes and Alternative Assets, for qualified investors, where appropriate.

We are constructive on Fixed Income overall but underweight in order to fund our Equity overweight. We continue to project range-bound yields given sticky inflation and real gross domestic product remaining near or above 2% for the next few years. However, we recognize potentially high volatility in either direction, especially given the expected change in Federal Reserve leadership later this year.

MACRO STRATEGY

Beyond Goods—The Expected Boom in China's Knowledge-Intensive Exports

Joseph P. Quinlan, Managing Director and Head of CIO Market Strategy

Ariana Chiu, Assistant Vice President and Investment Strategist

No nation in the world exports as much merchandise as China. But having conquered global trade in goods, China is now rapidly moving up the global ranks as a leading exporter of knowledge-intensive services. This dynamic is one more reason why we remain constructive on China technology leaders for the long run. As we continue to emphasize to investors, the global race for technological supremacy is a two-horse race—between the U.S. and China. In terms of portfolio construction, own both—or technology leaders in the U.S. and China.

China's new trade paradigm rests on rising exports of services like ICT, construction management, engineering services, data analytics, R&D, and, to a lesser degree, financial services and intellectual property rights. Add up these services, and China already ranks as the world's sixth-largest exporter, up from 12th place in 2005 (Exhibit 1A).

The country now earns more from exports of ICT services ($100 billion in 2024) than traditional export staples like toys ($82 billion) and footwear ($51 billion). Exports of "other business services"—a combination of consulting services, R&D, and technical-related activities—totaled $113 billion in 2024, well ahead of exports of iron and steel ($71 billion) and apparel ($85 billion). And construction service exports in 2024 ($34 billion) were greater than exports of glassware ($25.5 billion) and pharmaceutical products ($12 billion), as depicted in Exhibit 1B.

Service exports like construction have soared due in large part to China's "One Belt, One Road" initiative. Since the program was announced in 2013, construction service exports have tripled, rising from $10.7 billion in 2013 to $33.6 billion in 2024. By ploughing billions of dollars into infrastructure projects around the world, China's mega-development strategy has not only supercharged China's exports of steel, cement, heavy equipment and other goods needed to build ports, highways, power plants and railways. It has also boosted service exports required to keep the ports, railways and power plants humming—think operations management contracts, digital monitoring systems, technical training, maintenance agreements, software upgrades, cloud computing capabilities and related service activities.

Similarly, when China's leading telecommunication leaders install a 4G or 5G network in Pakistan, or a China's technology giant builds a data center in Brazil, it's not one and done. What typically follows are multiyear-managed-service agreements that include software updates, technical support, network maintenance and related activities that lock in the business for years—and drive growth in services trade. Indeed, export services of telecommunication, computer and information services have quadrupled just in the past decade, rising from 2015 ($25.8 billion) to $100 billion in 2024.

In addition, as China has moved up the value-added curve in exports of electrical vehicles, robots, drones, solar panels, and wind turbines, the expansion in knowledge-intensive service exports have followed. Each one of these products are highly digitalized and are accompanied with an array of recurring service requirements that only strengthens and fortifies China's competitive position in various markets around the world.

Trade in hardware (goods) has led to more trade in software (services)—one pulls the other. In reality, this means that the export of electrical vehicles comes with software upgrades; the export of robots and drones comes with the export of cloud connectivity services and remote monitoring systems; and the export of solar panels and wind turbines comes with the exports of technical services and maintenance.

Services increasingly account for a rising value of China's manufacturing exports. This represents a new front in China's trade with the world—but it doesn't end there.

Enter AI and China's advances in open-source AI. More affordable and accessible to end users, DeepSeek's large language models (LLM) and other iterations from China are gaining traction around the world, notably in Africa, Russia, the Middle East and other emerging markets. Indeed, the number of cumulative global downloads of China's open-sourced AI models surpassed those of the U.S. last September, with the gap only widening since then (Exhibit 1C).

Portfolio Considerations

As China expands its knowledge-intensive exports and competes with the U.S.' AI capabilities, portfolios have the potential to benefit from being exposed to technology leaders both in the U.S. and in China. We remain overweight Emerging Markets (EM) which are heavily levered to technology companies in Asian markets.

And as an aside, open-source LLMs from China are not are not just surging in popularity in the emerging markets. They are also gaining popularity and adoption in the U.S. Cost-effective, high performing, and frequently updated—owing to these factors, 80% of U.S. AI startups rely on China's open-source models instead of U.S. models.[1] Rising AI adoption rates of China models means more AI-enabling activities and more demand for China's knowledge-intensive exports including ICT services, real-time data processing, predictive maintenance data analytics, systems integration and smart infrastructure management.

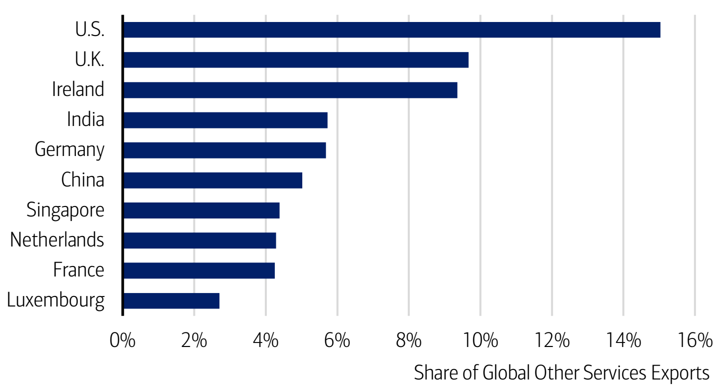
Given all the above, China's trade in knowledge-intensive services has swung from a perennial deficit over much of this century to a surplus beginning around 2015 (Exhibit 1D). The surplus in trade in "other services" topped $80 billion in 2024—and putting that number into perspective; when it comes to running a trade surplus in "other services" or construction and knowledge-intensive trade, China now ranks fourth in the world, trailing only the U.S., the U.K. and India. Within the category of "other services," construction trade posted a surplus of $25 billion in 2024; the trade surplus in ICT was a record $60 billion; and the surplus in "other business services" including R&D totaled $48 billion—also a record high.

More broadly, and for some context, China's total service exports remain second fiddle to China's trade in goods. In 2024, total service exports accounted for just 12.5% of goods exports in 2024. In addition, China still runs an overall deficit in total services owing to a large deficit in travel (visitors from China spending more overseas than foreign visitors spending in China) and a deficit in education receipts. It also runs a deficit in intellectual property royalites since the nation remains a net importer of intellectual property.

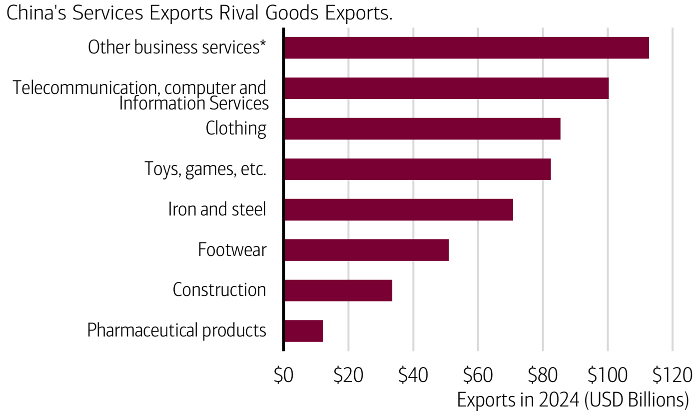
However, investors should see the big picture, which is this: China's trade has entered a new phase—think not only high-end goods like electrical vehicles, robots and drones but also construction services and knowledge-intensive services exports that range from telecommunication platforms to AI-embedded capabilities. Against this backdrop, we remain constructive on China technology.

Exhibit 1: China's New Trade Paradigm Rests on Services Exports.

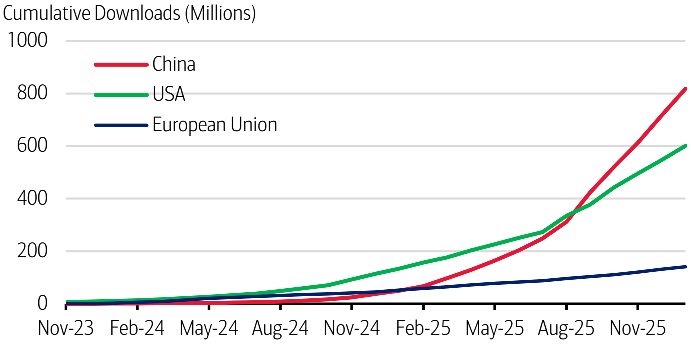
A) Top Exporters of "Other Services"*



B) China's Services Exports Rival Goods Exports.



C) Downloads of China's Open-Source AI Models Have Surpassed That of the U.S.
Cumulative Downloads (Millions)



D) China's Trade Balance in "Other Services."
USD Billions

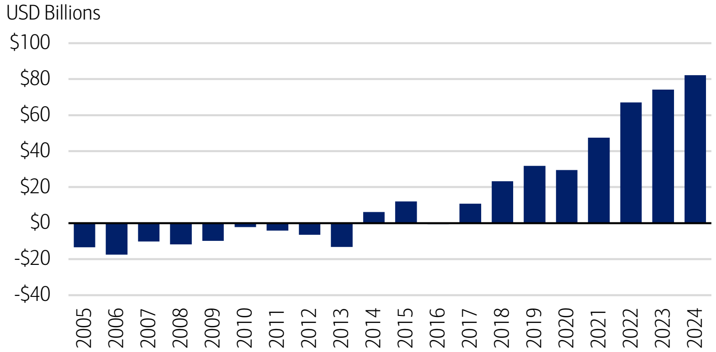


Exhibit 1A) *Includes construction, insurance and pension services, financial services, charges for use of intellectual property, telecommunication/computer/information services, other business services, recreational services, and government goods and services. Source: World Trade Organization (WTO). Data as of February 2026. Exhibit 1B) *Includes R&D, consulting services, and trade and technical-related services. Source: WTO; International Trade Centre. Data as of February 2026. Exhibit 1C) Source: The ATOM Project, Hugging Face. Data as of February 24, 2026. Exhibit 1D) Source: WTO. Data as of February 2026.

[1] "80% of AI start-ups applying for VC funding with Andreessen Horowitz are using Chinese Open-source AI.", European Central Station, 2025.

MARKET VIEW

In Times of Uncertainty, Choose Fundamentals Over Fear

Ariana Chiu, Assistant Vice President and Investment Strategist

In today's attention economy, it's easy to get distracted by the nonstop stream of (usually negative) headlines. But as investors, and especially in times of heightened uncertainty, it's important to remember that underlying fundamentals ultimately drive the economy and markets. While risks certainly remain, there's a lot to like about what's taking place in the global economy and markets. Fundamentals are still largely intact—a fact that doesn't tend to go viral or make front-page news. Below we address some common current fears and why fundamentals suggest otherwise.

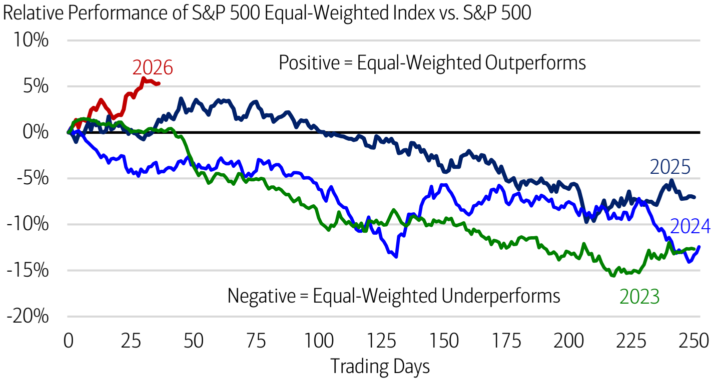
Portfolio Considerations

With U.S. Equities churning under the surface, we urge investors to take advantage of broadening fundamentals in portfolios, increasing exposure to areas like Small-caps and EMs for those who are underweight and maintaining diversified exposure to Value and Growth. Demand for U.S. securities should remain robust this year, and a gradual weakening rather than disorderly downfall of the dollar is likely.

On fear that this bull market is too narrow to last... Concerns surrounding U.S. equity market concentration and the return on AI investment (or lack thereof) continue to swirl. As recent volatility suggests, AI now has a long list of fears attached to it, ranging from the belief that agentic AI will lead to mass white collar unemployment and a global recession to the fear that limited AI adoption will end in massive overinvestment and abandoned data centers.

The wall of worry is high, and yet the average stock in the S&P 500 has fared surprisingly well over the last few months. So far in 2026, the equal-weighted S&P 500 has outperformed its market cap-weighted counterpart by the widest margin since 1992,[2] a stark departure from three consecutive years of ultra-narrow performance (Exhibit 2A). Breadth is at record levels, as Exhibit 2B highlights, with more than 320 companies in the S&P 500 outperforming the broader index year-to-date (including none of the Magnificent 7[3]). Strength from areas of the market outside of technology have pulled their weight since last November—hence an S&P 500 just 1% to 2% off an all-time high despite industries like software in bear market territory. Internals still look good for the broader index, with 68% of stocks above their 200-day moving average. All of this is good news for the sustainability of this bull market.

Exhibit 2: The Broadening is Finally Here.



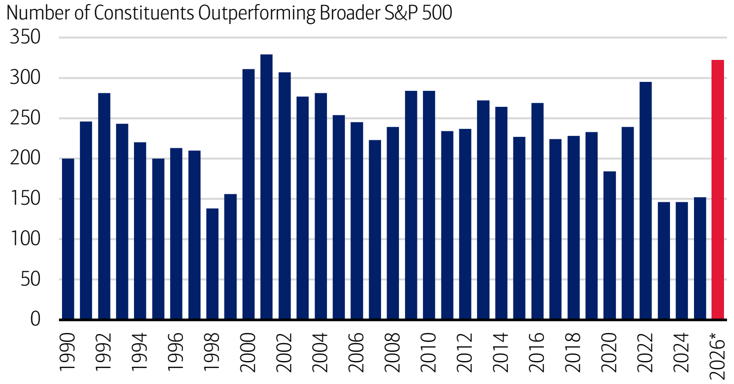


Exhibit 2A) Source: Bloomberg. Data as of February 24, 2026. Exhibit 2B) *Year-to-date. Source: Bloomberg. Data as of February 24, 2026. **Past performance is no guarantee of future results**. Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

On fear that renewed tariff uncertainty will cripple corporate America... With the Supreme Court's decision on February 20, IEEPA tariffs have been replaced with Section 122 tariffs for the next 150 days. While lower tariffs for countries like China and Brazil are good news in the near term for many companies, it's clear that tariff uncertainty will continue to be a feature of 2026. Alternative authorities to the International Emergency Economic Powers Act are likely to keep the effective tariff rate well above where it averaged prior to 2025 (around 2.2% over the prior 10 years[4]). Meanwhile, lengthy sector- and country-specific investigations will make tariff implementation more cumbersome.

With that said, it shouldn't be lost on investors that corporate America managed record profit margins and earnings growth through the Liberation Day (April 2) shakeout. Q4

[2] Refers to the first 36 trading days of the year. Bloomberg. Data as of February 24, 2026.

[3] Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla

[4] U.S. International Trade Commission.

earnings growth for the S&P 500 is tracking at 14% year-over-year (YoY), marking the fifth straight quarter of double-digit earnings growth or its longest such streak since 2018. Well-diversified investors are also benefitting from a broadening in profits not only across sectors but also along the cap spectrum and to the rest of the world. Hence our preference in portfolios for Small-caps, EMs, and a balance of Value and Growth.

On fear that household balance sheets, particularly among lower-income consumers, are deteriorating… It's no secret that spending in the U.S. has been increasingly top-heavy, not only by income but also by education and age. Spending of college graduates has grown about 2.4% faster than that of nongraduates since 2023.[5] Meanwhile, those aged 55 and older now account for some 45% of overall U.S. consumption, up from less than 30% at the start of the century.[6] It's hardly an even playing field out there.

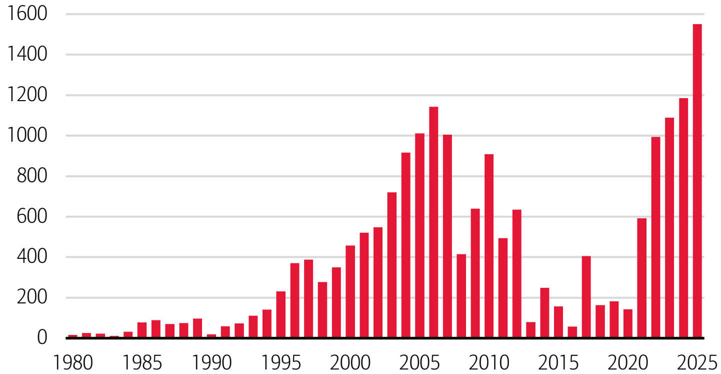
However, data from the Federal Reserve continues to suggest balance sheets are strong—not just in aggregate or among wealthier households but across income cohorts. To wit, debt as a share of household net worth among the bottom 20% of households by income currently stands at 16.1%, having gradually declined from 20% at the start of the decade and technically now at the lowest level since 1999. A similar pattern can be observed across income quintiles. In other words, though higher prices have weighed on lower-income households and while delinquency rates bear watching, consumer balance sheets across the income spectrum are still in historically solid shape.

And finally, on fear that foreign investors are bailing on the U.S.… Like in 2025, the narrative that foreign investors are abandoning U.S. assets on macro/geopolitical developments has gripped headlines this year. Yet there has been little evidence of this in the latest data from the Treasury Department, which showed that foreign investors purchased a record net $1.55 trillion of long-term U.S. financial assets in 2025—a stunning 31% increase from $1.18 trillion in 2024 (Exhibit 3A). Included were $720 billion of net equity purchases and $409 billion in Treasury notes and bonds. Foreign demand has proven strong to start the year too; 19% of January's note and bond auctions were allotted to foreign accounts, the highest share in three years.[7]

Indeed, the "sell America" trade has been more bark than bite. The decline in the dollar, now 8% below where it entered 2025 on a real trade-weighted basis, has primarily reflected foreign investors from Asia and Europe hedging their dollar exposure after a decade of robust U.S. returns. So far this year, the greenback has declined more than 1% in trade-weighted terms but remains overvalued (Exhibit 3B). We expect the dollar to strengthen in the near-term given conflict in the Middle East before resuming a slightly weaker path. Don't buy into the fear that foreigners have given up on U.S. assets.

Exhibit 3: Fade the Foreign Buyer Strike.

A) So Much for the "Sell America" Trade.
Net Purchases of Long-Term U.S. Financial Assets*, USD Billions



B) Dollar Remains Overvalued on a Historical Basis.
Real Trade-Weighted USD

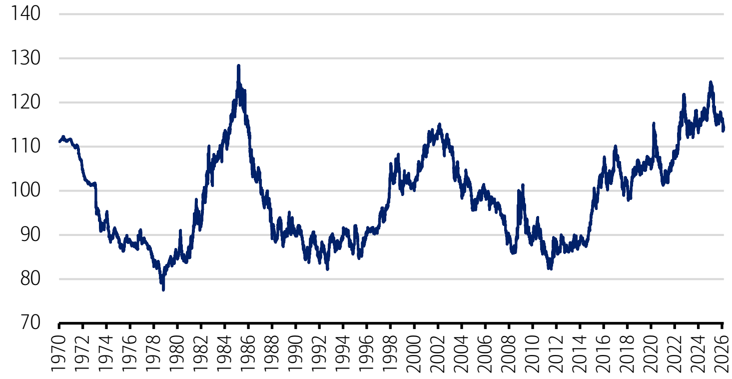


Exhibit 3A) *Includes Equities, Treasurys, Agencies, and Corporates. Source: U.S. Treasury. Data as of February 24, 2026. Exhibit 3B) Source: Bloomberg, Federal Reserve. Data as of February 24, 2026.

[5] Federal Reserve Bank of New York. Data through December 2025 as of February 3, 2026.
[6] Moody's Analytics. Q3 2025 data as of February 24, 2026.
[7] U.S. Treasury. Data as of February 24, 2026.

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THOUGHT OF THE WEEK

The Sentiment-Spending Disconnect

Theadora Lamprecht, Assistant Vice President and Investment Strategist

The U.S. consumer backdrop is increasingly defined by a divergence between 'soft' data and 'hard' data: sentiment remains subdued, while spending continues to prove more resilient than expected.

Sentiment is cautious but may be nearing an inflection point for markets. Survey-based measures, such as the Conference Board Consumer Confidence Index and University of Michigan Consumer Sentiment Index, remain below pre-pandemic levels, reflecting persistent concerns about affordability. Households may be employed and earning but remain uneasy about real purchasing power.

Even so, there are emerging bright spots. The Conference Board's February reading came in above expectations at 91.2, up from the prior month's upwardly revised 89.0. Labor market perceptions remain constructive: a greater number of participants said that jobs were "plentiful" (28%) compared to "hard to get" (21%). For investors, periods of depressed sentiment have historically created favorable entry points for Equities. Across the past seven major peaks and troughs in the University of Michigan Index, average 12-month forward S&P 500 returns following a sentiment peak were roughly 4.3%, compared with a whopping 25.0% following a trough. In other words, when consumer confidence reaches extreme lows, subsequent equity market performance has tended to be meaningfully stronger (Exhibit 4).

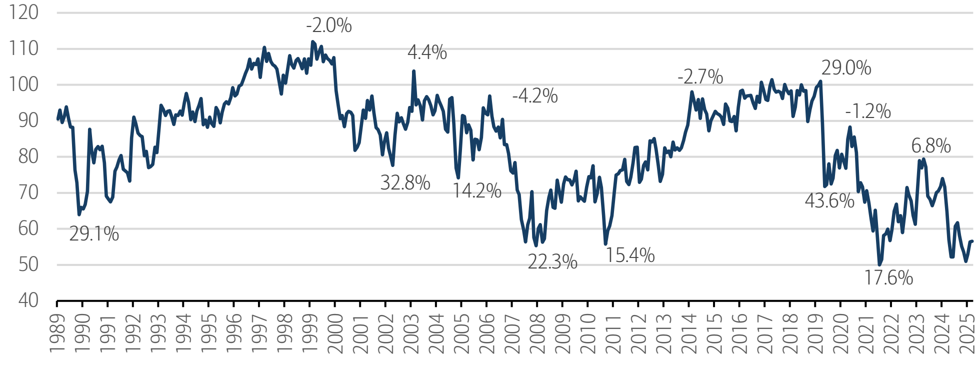
Spending remains strong. According to the Bureau of Economic Analysis, personal consumption expenditures continue to expand, with services spending providing notable support. Internal Bank of America Institute data tells a similar story: Total credit/debit card spending per household increased 2.6% YoY in January, the largest increase since February 2024. Additionally, consumption remains the largest contributor to GDP growth.

Positive after-tax wage growth and wealth effects have sustained higher-income discretionary spending. Wage growth dispersion between higher- and lower-income cohorts hasn't widened further from last fall's peak, and despite some uptick in credit-card delinquencies, median checking/savings balances remain above inflation-adjusted 2019 levels. Also, tax refunds are expected to be 26% higher compared to 2025, with over 36% of consumers[8] using refunds to pay down debts. This should shore up the consumer balance sheet and boost spending.

Looking ahead: The consumer outlook may prove more constructive than sentiment alone suggests. Historically, sentiment tends to lag underlying economic improvements, and we see many tailwinds for the consumer; the labor market remains stable, gas prices are around $3.00 per gallon, below their five-year average of $3.40, and a wave of fiscal stimulus is expected to hit accounts, all of which should broaden purchasing power across cohorts. These catalysts may allow perceptions to begin to catch-up with consumption.

Exhibit 4: Low Sentiment Leads to Positive 12-month Forward Returns.

University of Michigan Consumer Sentiment Index Peaks/Troughs and S&P 500 Index 12-month Forward Returns Percentage.



Source: Bloomberg; Fidelity Investments. Price returns used. Data as of February 28, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

[8] Bank of America Institute. Survey conducted in early February 2026 of 1,007 individual owing more than two types of debt to gain insights into the types of debt owed and payment behavior, including how they prioritize debt payments.

Portfolio Considerations

With a resilient consumer base, a relatively solid job market, and additional fiscal stimulus expected in the first half of 2026, we remain slightly overweight the Consumer Discretionary sector. Households continue to adjust their budgets to prioritize experiences and essentials, with higher-income consumers further supported by wealth effects from rising home values and equity portfolios. Conversely, we maintain a slight underweight in Consumer Staples as ongoing trade-down behavior and rising preference for private-label products continue to pressure margins and profitability for branded manufacturers.

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MARKETS IN REVIEW

Asset Class Weightings (as of 2/3/2026)

Asset Class	CIO View / Underweight		Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View / Underweight		Neutral	Overweight	
Financials					●
Utilities				●	
Consumer Discretionary				●	
Industrials				●	
Communication Services			●		
Information Technology			●		
Healthcare			●		
Real Estate		●			
Consumer Staples		●			
Materials		●			
Energy	●				

*Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of February 3, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Economic Forecasts (as of 2/27/2026)

	Q4 2025A	2025A	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E
Real global GDP (% y/y annualized)	-	3.6*	-	-	-	-	3.5
Real U.S. GDP (% q/q annualized)	1.4*	2.2*	2.6	3.0	2.0	2.0	2.8
CPI inflation (% y/y)	2.7	2.7*	2.5	3.0	2.7	2.6	2.7
Core CPI inflation (% y/y)	2.7	2.9*	2.6	2.8	2.6	2.7	2.7
Unemployment rate (%)	4.5	4.3*	4.5	4.5	4.4	4.3	4.4
Fed funds rate, end period (%)	3.63	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**

A = Actual. E/* = Estimate. Data as of February 27, 2026.

Sources: BofA Global Research; GWIM ISC as of February 27, 2026.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	48,977.92	-1.3	0.3	2.1
NASDAQ	22,668.21	-0.9	-3.3	-2.4
S&P 500	6,878.88	-0.4	-0.8	0.7
S&P 400 Mid Cap	3,575.27	-0.9	4.1	8.3
Russell 2000	2,632.36	-1.2	0.8	6.2
MSCI World	4,556.79	0.1	0.7	3.0
MSCI EAFE	3,179.91	1.2	4.6	10.1
MSCI Emerging Markets	1,610.70	2.8	5.5	14.8

Commodities & Currencies

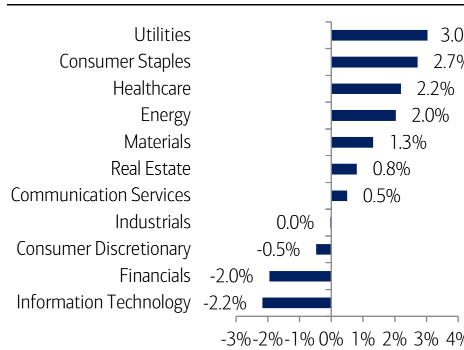
	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	308.23	1.7	1.1	11.6
WTI Crude $/Barrel††	67.02	0.9	2.8	16.7
Gold Spot $/Ounce††	5278.93	3.4	7.9	22.2

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2024 Year End
EUR/USD	1.18	1.18	1.19	1.17
USD/JPY	156.05	155.05	154.78	156.71
USD/CNH	6.86	6.90	6.96	6.98

Fixed Income†

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.09	0.52	1.64	1.64
Agencies	3.83	0.42	1.11	1.23
Municipals	3.29	0.33	1.25	2.20
U.S. Investment-Grade Credit	4.16	0.54	1.64	1.75
International	4.73	0.21	1.29	1.47
High Yield	6.71	-0.22	0.19	0.69
90 Day Yield	3.66	3.67	3.65	3.63
2 Year Yield	3.37	3.48	3.52	3.47
10 Year Yield	3.94	4.08	4.24	4.17
30 Year Yield	4.61	4.72	4.87	4.84

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 2/23/2026 to 2/27/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 2/27/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500/Market-cap Weighted Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Equal Weighted Index is the equal-weight version of the widely-used S&P 500. The index includes the same constituents as the capitalization weighted S&P 500, but each company in the S&P 500 EWI is allocated a fixed weight - or 0.2% of the index total at each quarterly rebalance.

Conference Board Consumer Confidence Index is a barometer of the health of the U.S. economy from the perspective of the consumer. The index is based on consumers' perceptions of current business and employment conditions, as well as their expectations for six months hence regarding business conditions, employment, and income.

University of Michigan Consumer Sentiment Index is a monthly survey of consumer confidence levels in the United States conducted by the University of Michigan.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private-credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity and your tolerance for risk.

Nonfinancial assets, such as closely-held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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